

Unit 4

Career Strategy

4. Career Strategy

The Square Peg

The Economy

Structural change in the economy

Understanding yourself

Choosing a career

Developing your career strategy

Discussion

Sitting by yourself? Please move next to someone else!

Say “hello” and introduce yourself in groups of 2 or 3.

Today we will be talking about your future career.

In what country do you plan to work after you graduate?

What job would you like to do after you graduate?

What job would you like to be doing 10 years after you graduate?

General Advice Warning

The content of this Unit is not personal financial advice for you

It covers general principles

... taught as part of university course based on the Australian system.

It does not take into account your situation, objectives or needs.

You are responsible to consider whether it is suitable

... for your personal circumstances.

You should consider obtaining financial and tax advice yourself.

The Square Peg

An issue of ‘fit’

The Square Peg Round Hole Game

The Square Peg

The Square Peg

Alternative

- 1. Do nothing**
- 2. Change the peg to be round**
- 3. Change the hole to be square**
- 4. Find a square hole**

The Square Peg

Alternative

1. Do nothing
2. Change the peg to be round
3. Change the hole to be square
4. Find a square hole

Meaning

Accept misalignment

Change yourself

Change your environment*

Move to a different environment

* What I mean by 'change your environment' is to take initiative to make changes to the environment in which you work. This might involve talking to your boss to change some of your job responsibilities. It is different from 'Move to a different environment' which might involve moving to a completely different job in the same organisation or moving to a different organisation entirely.

The Square Peg

Alternative

1. Do nothing
2. Change the peg to be round
3. Change the hole to be square
4. Find a square hole

Meaning

- Accept misalignment
- Change yourself
- Change your environment
- Move to a different environment

5. Don't play the game

Australia: 'Quiet Quitting' and 'The Great Resignation'

China: 'Lying Flat' 躺平 (tǎng píng) and 'Let it Rot' 摆烂 (bǎi làn)

I sympathise ...

It can be challenging to get a good full-time job after graduating

Long work hours* and travel time

Inadequate on-the-job training

Unreasonable expectations of managers

Bad managers, leadership and communication

Discrimination, bullying and bad behaviour in workplaces

Home affordability

Difficult to find (and keep) a life partner

The costs of raising children

* Some companies in China adopt a 996工作制 (gōngzuò zhì) working schedule which involves working from 9am to 9pm for 6 days a week.

Work ... Financial reasons

Self-reliant for your living expenses

Buying a home to control long-term living expenses

Pay off debts (especially home loan)

Build financial independence over time

Generous with people you care about (family and friends)

Generous with the community (charity and taxes)

Work ... Non-Financial reasons

Specialise, learn new skills and improve them over time

Use your skills and abilities in a positive way to help others

Help to reduce 'pain points' and 'create gains' for society

Contributing to economic growth, create jobs and improve living standards

Meeting new people and feel part of a team

Can help to provide 'meaning' and a sense of 'achievement'

Bring honour to ourselves, parents and families

Improved self-esteem and confidence

... many of these can help with 'life satisfaction' (eudaimonia)

Career Plan

- 1. Understand your current and future environment**
- 2. Understand yourself and your current situation**
- 3. Decide on career goals aligned to you and the changing environment**
- 4. Identify strategies to achieve your goals**
- 5. Identify and plan for risks**
- 6. Develop your marketing plan**
- 7. Take action**

The Economy

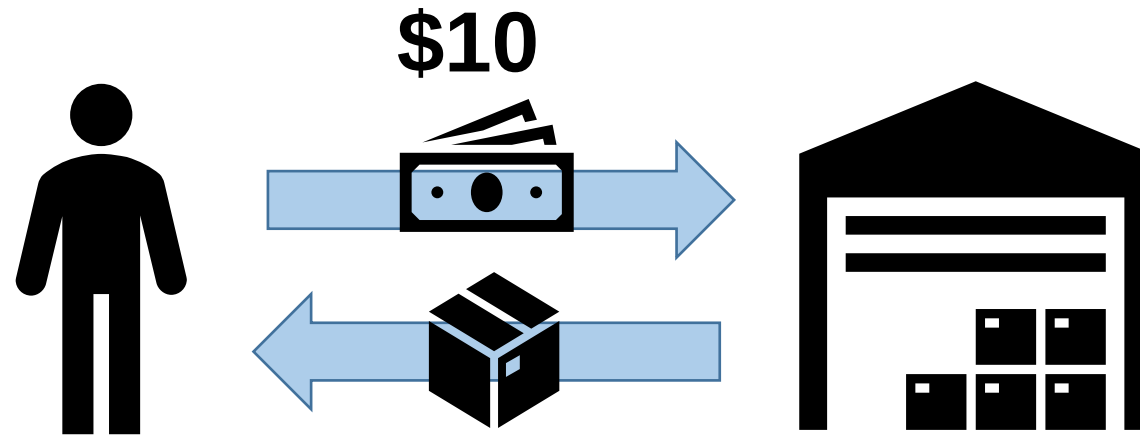
The circular flow of economic transactions

An introduction to how the economy works ...

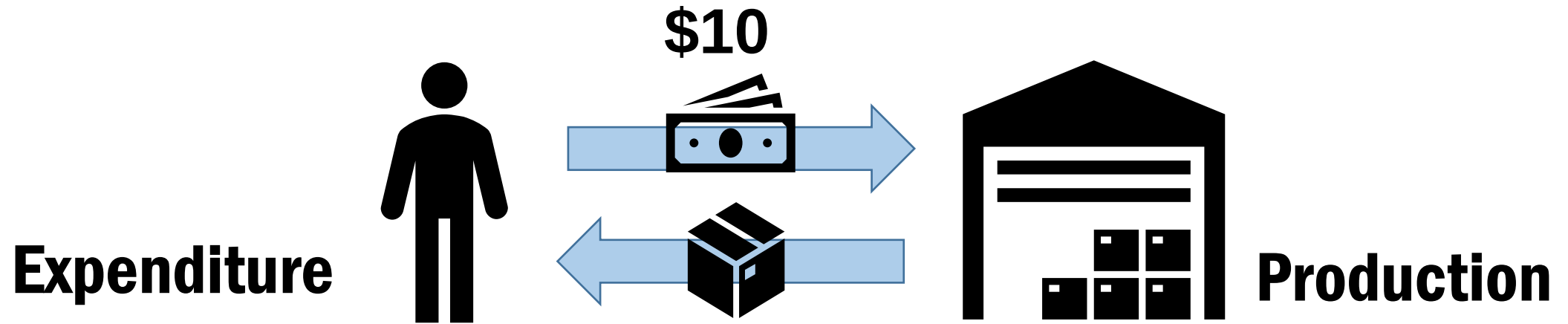


Apologies in advance
for the gender stereotypes!

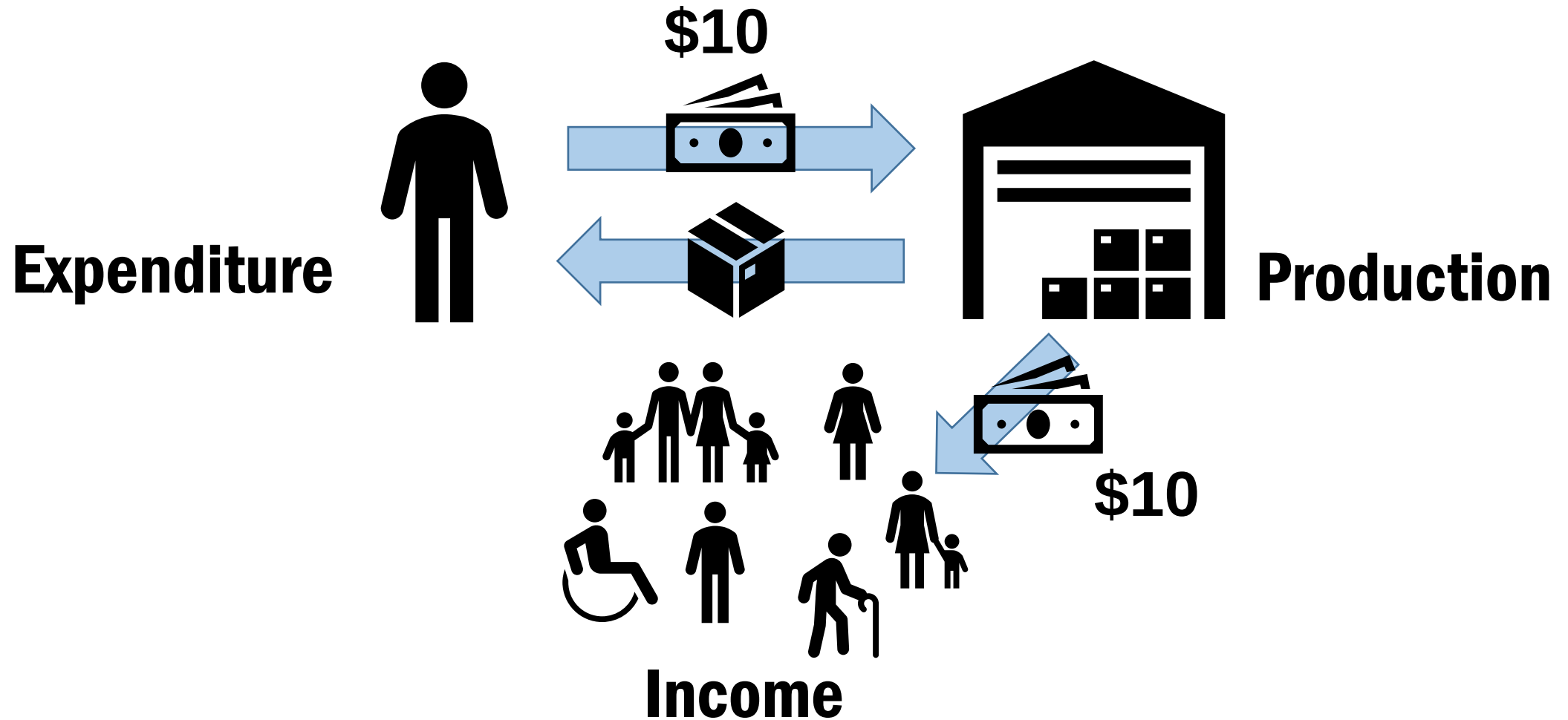
Economy is the sum of all transactions



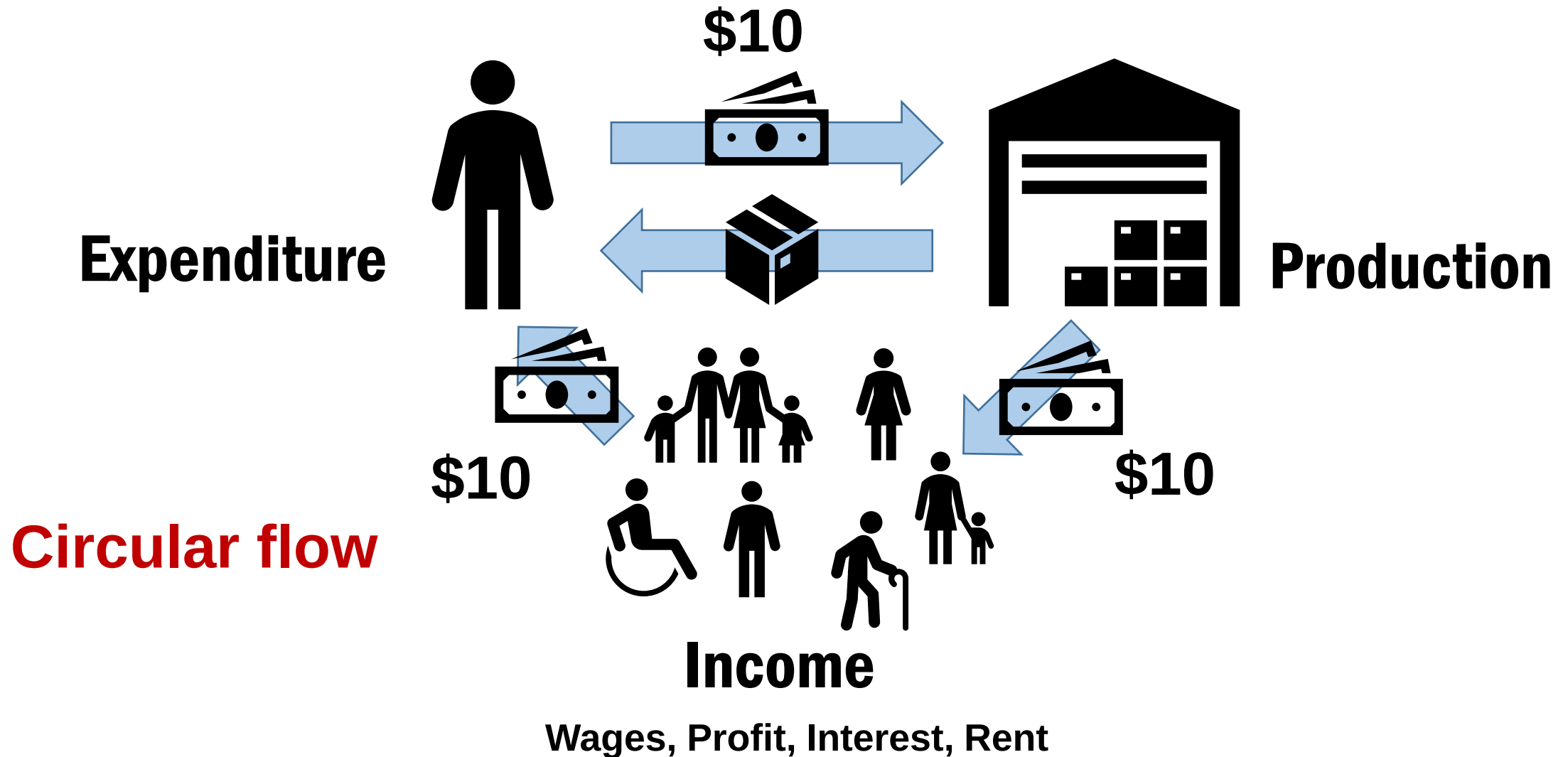
Economy is the sum of all transactions



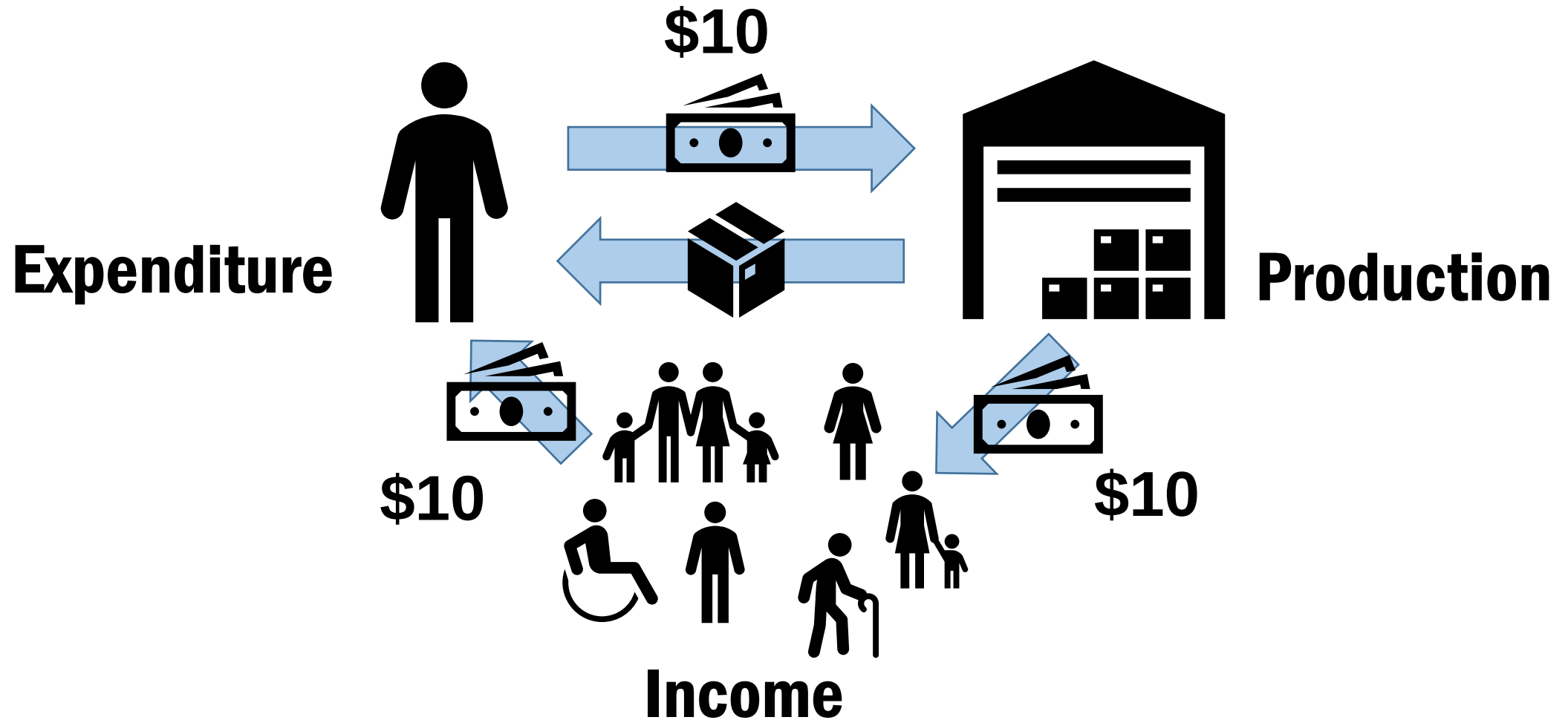
Economy is the sum of all transactions



Economy is the sum of all transactions

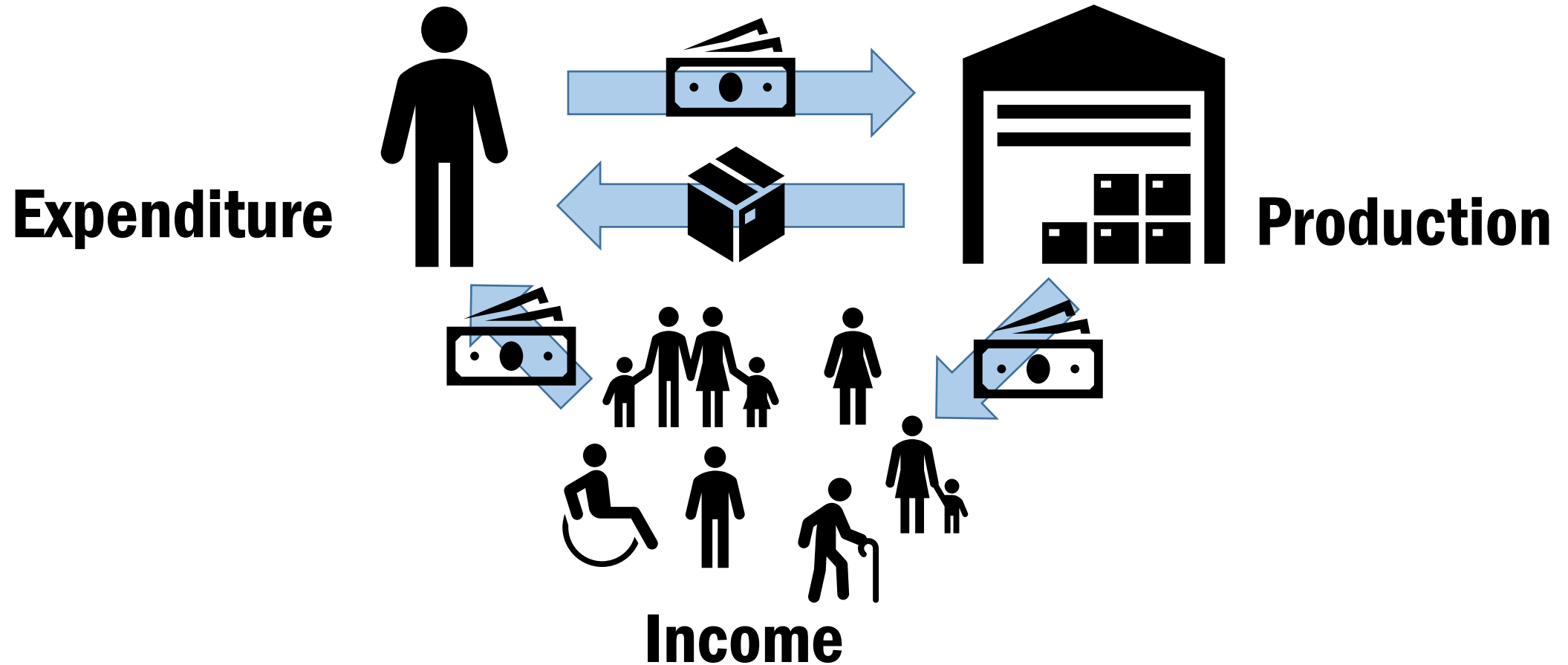


Expenditure $\approx$ Production $\approx$ Income



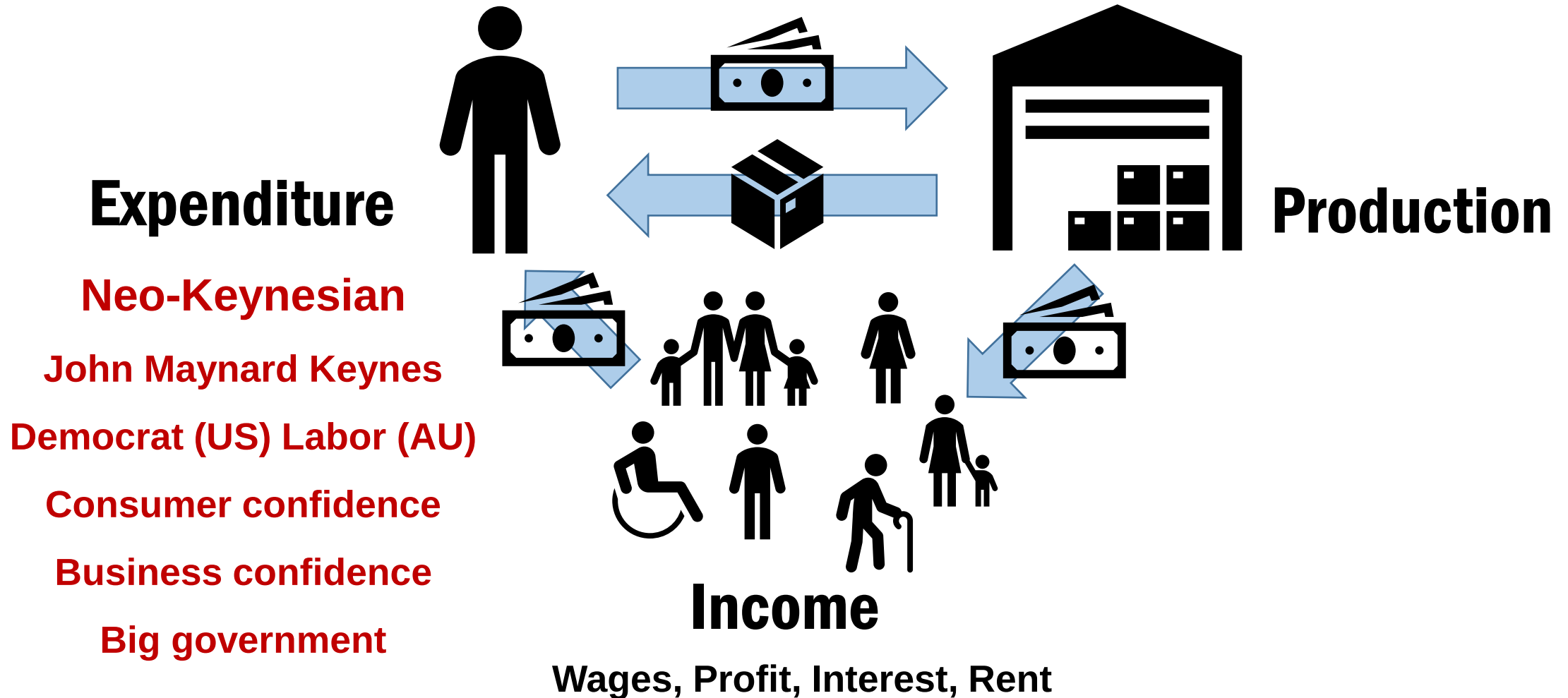
Wages, Profit, Interest, Rent

Expenditure $\Leftrightarrow$ Production

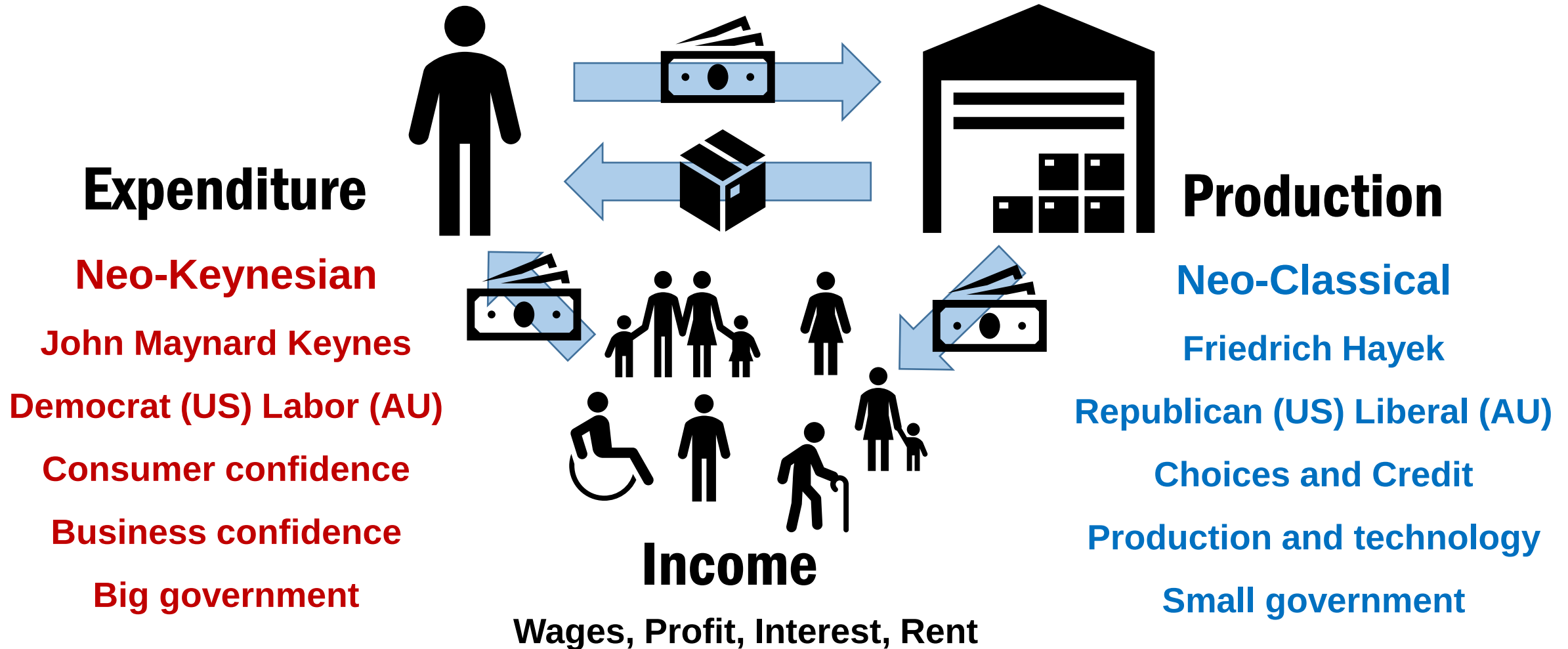


Wages, Profit, Interest, Rent

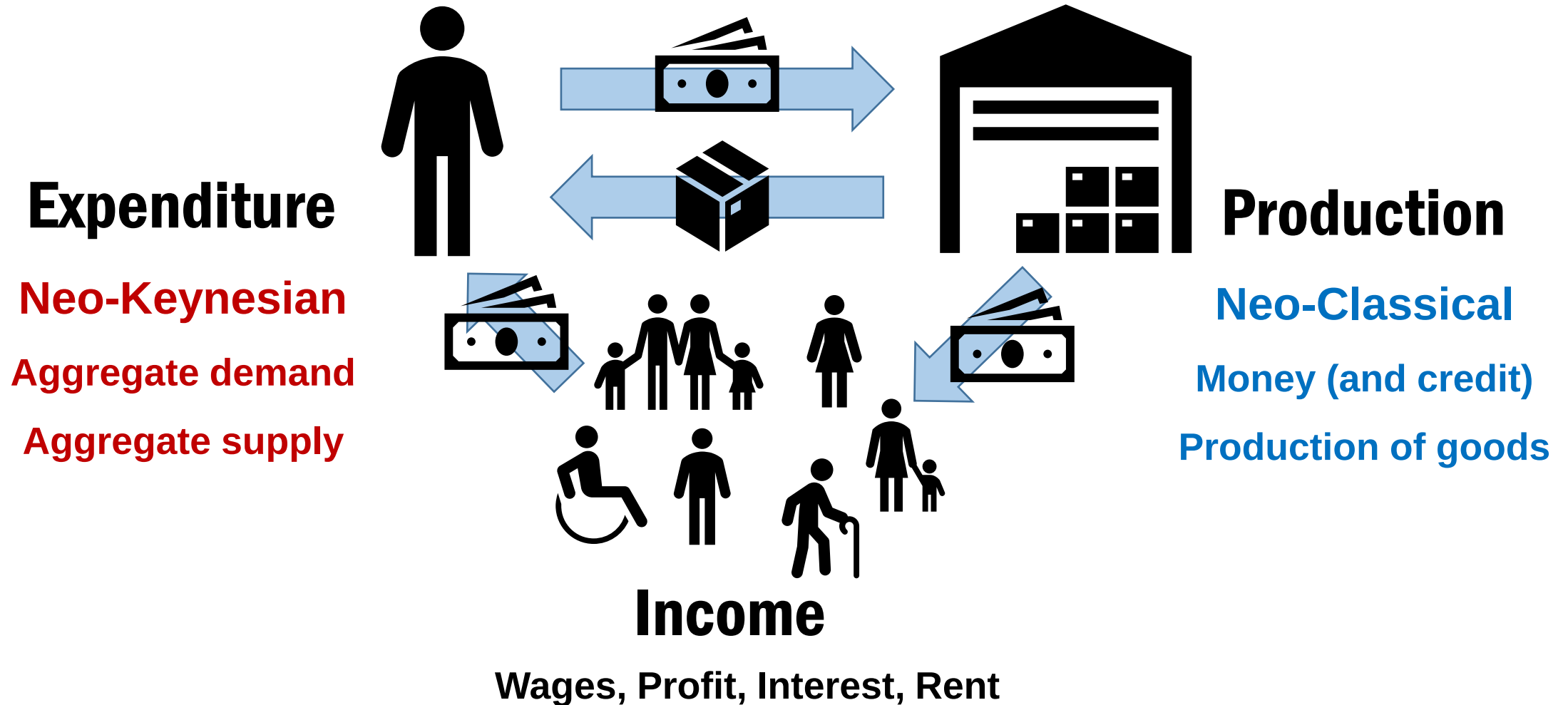
Expenditure $\Leftrightarrow$ Production



Expenditure $\Leftrightarrow$ Production

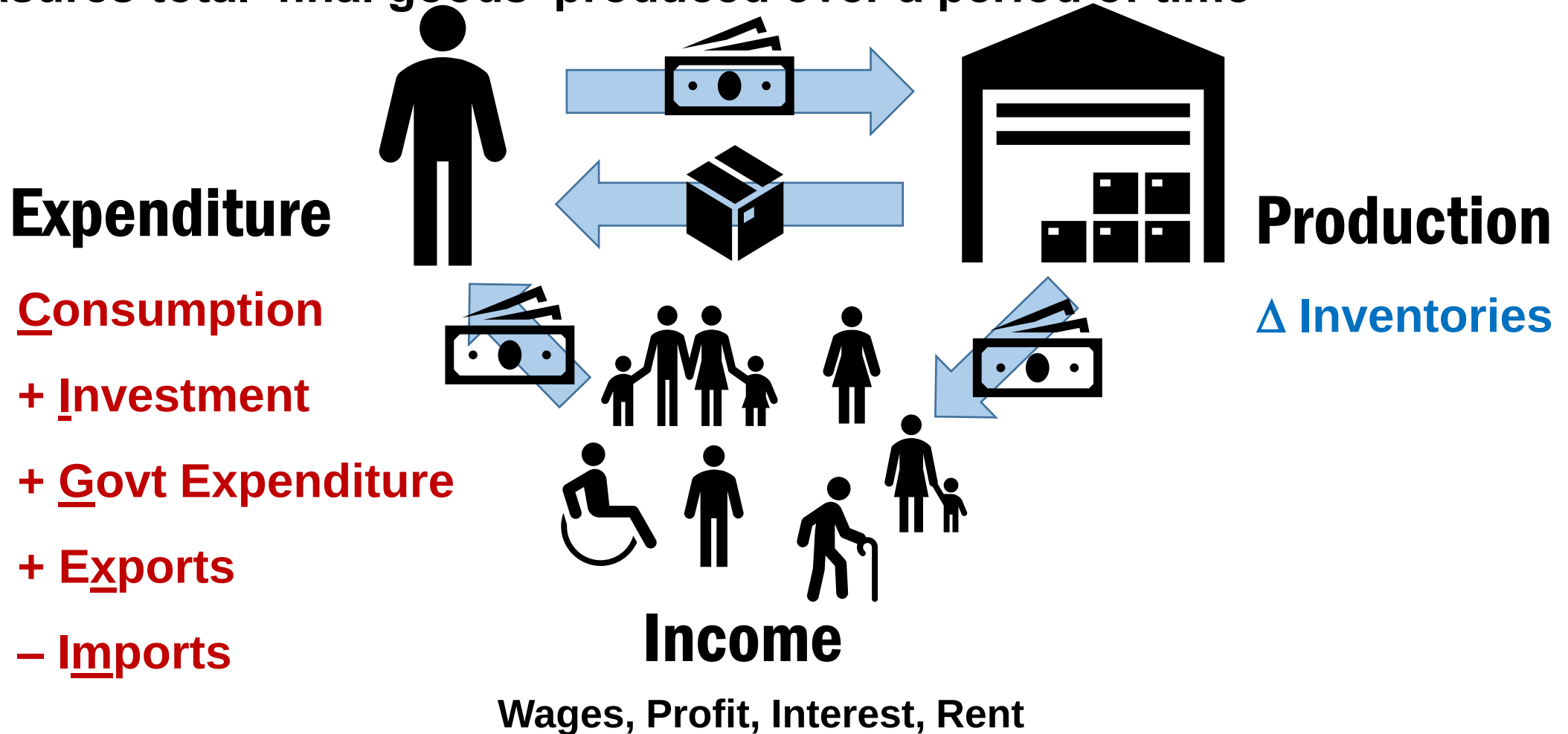


What causes inflation in prices of goods?



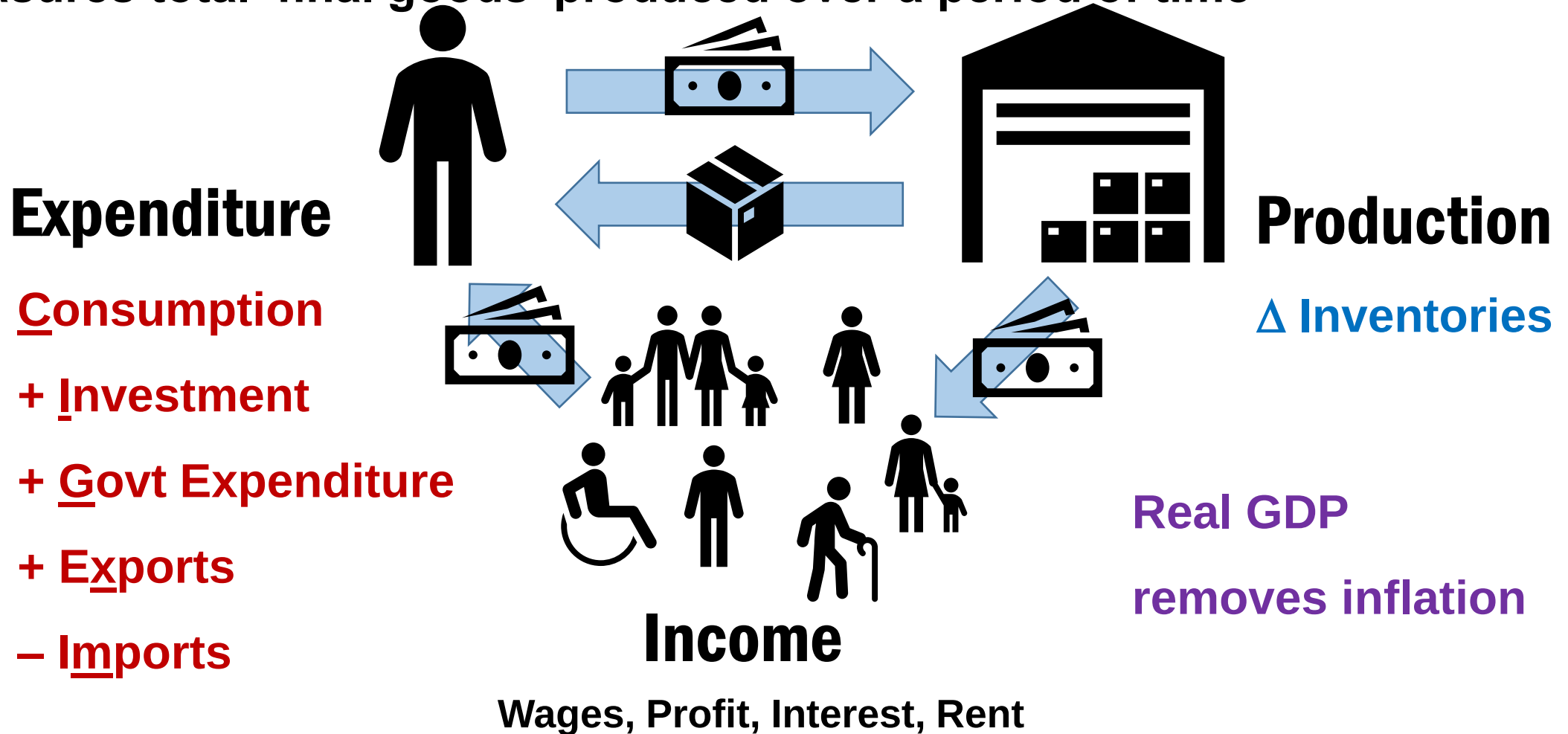
Gross Domestic Product (GDP)

Measures total 'final goods' produced over a period of time



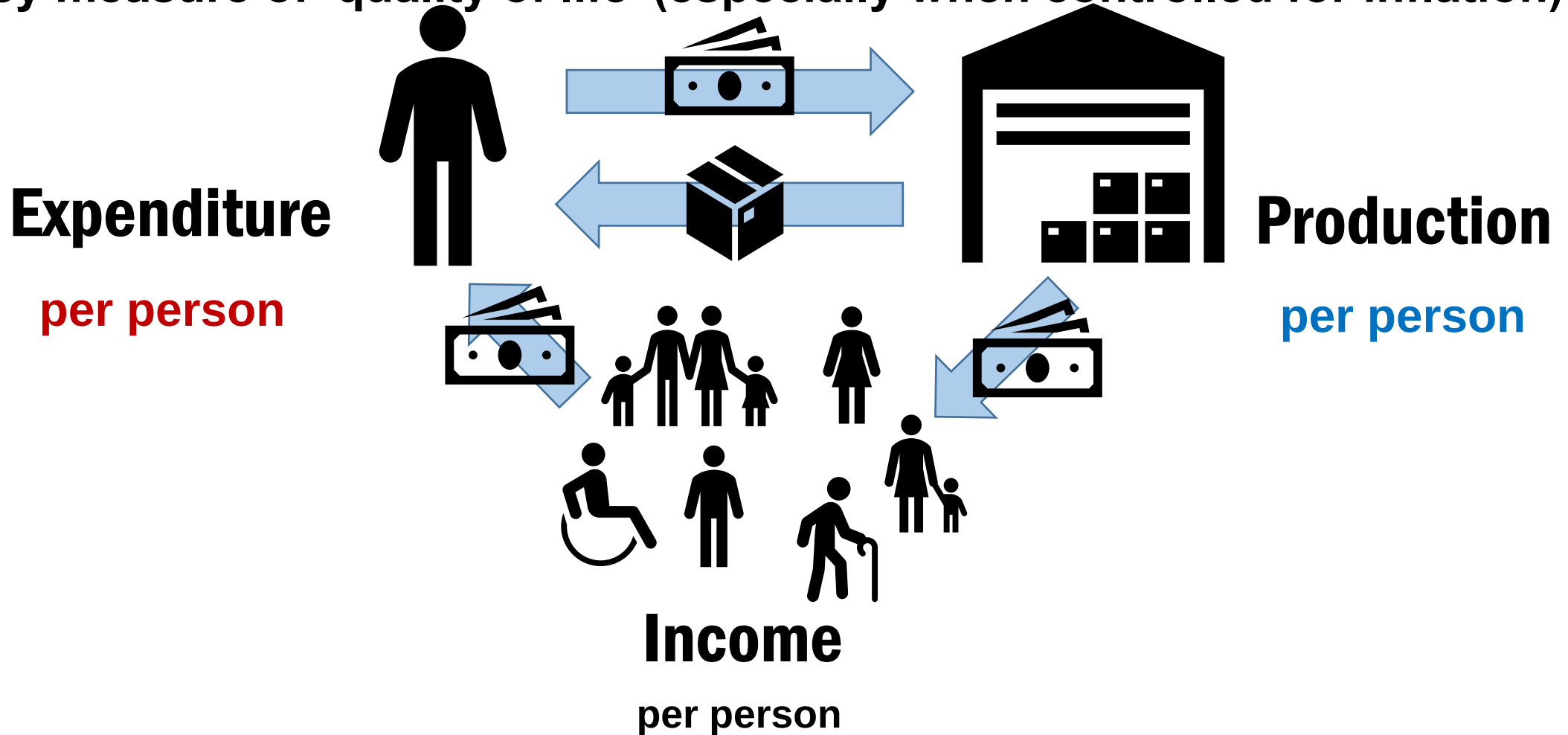
Gross Domestic Product (GDP)

Measures total 'final goods' produced over a period of time



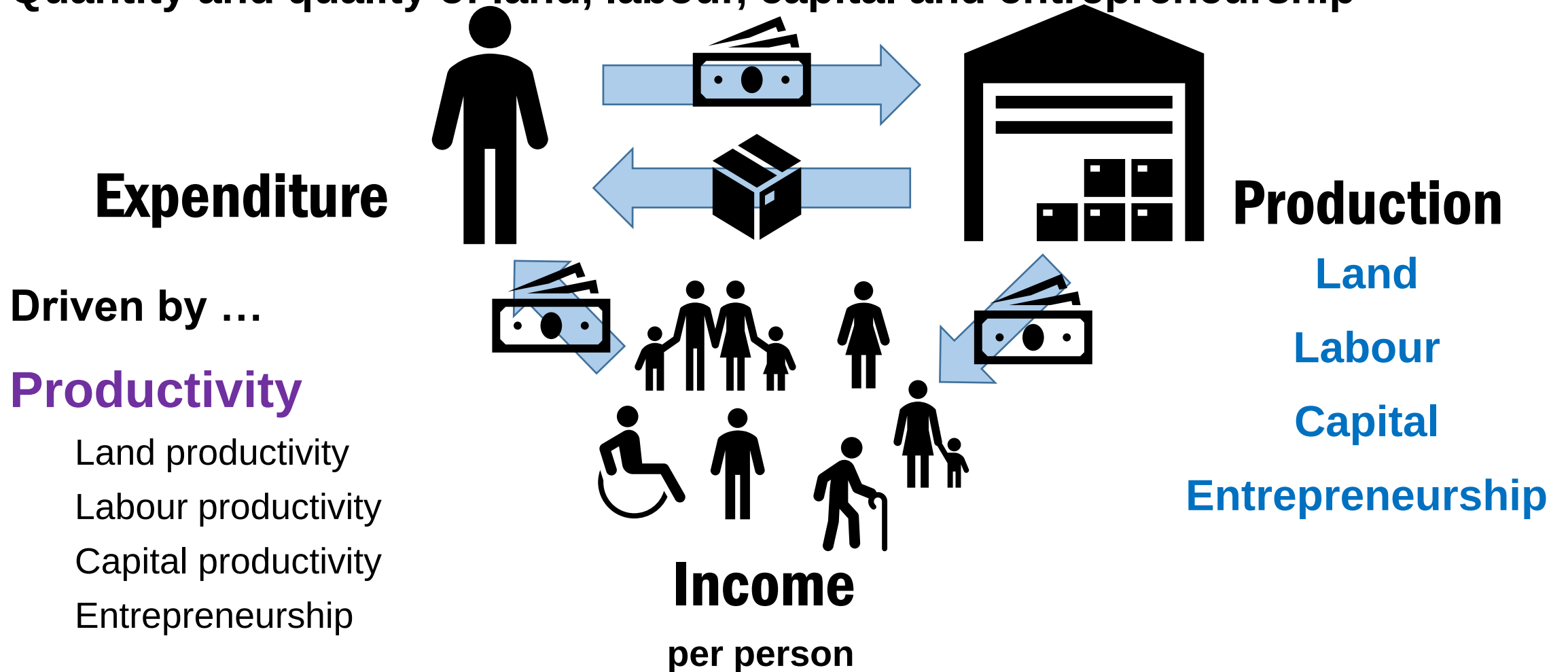
GDP per capita (per person)

A key measure of 'quality of life' (especially when controlled for inflation)

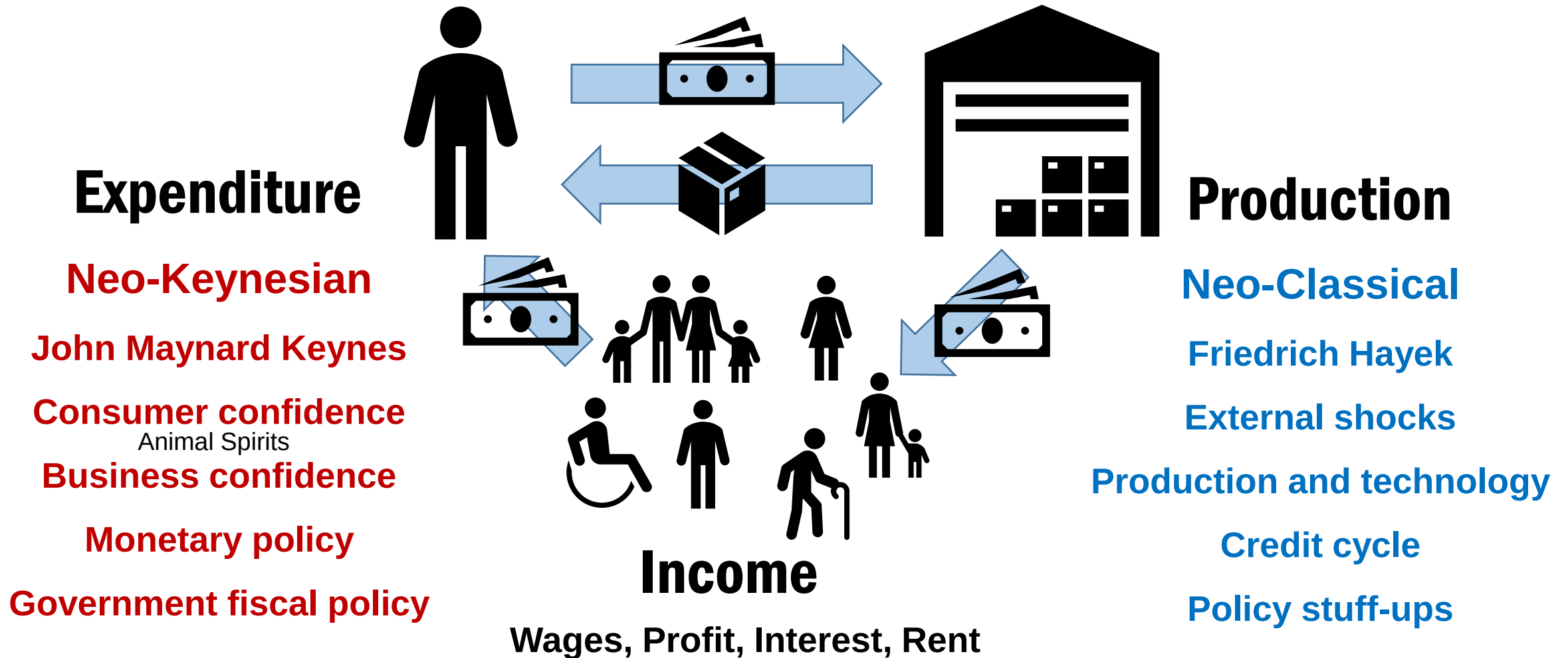


GDP per capita in the long-run

Quantity and quality of land, labour, capital and entrepreneurship



GDP per capita in the short-run



GDP per capita over **time**

Expenditure

Neo-Keynesian

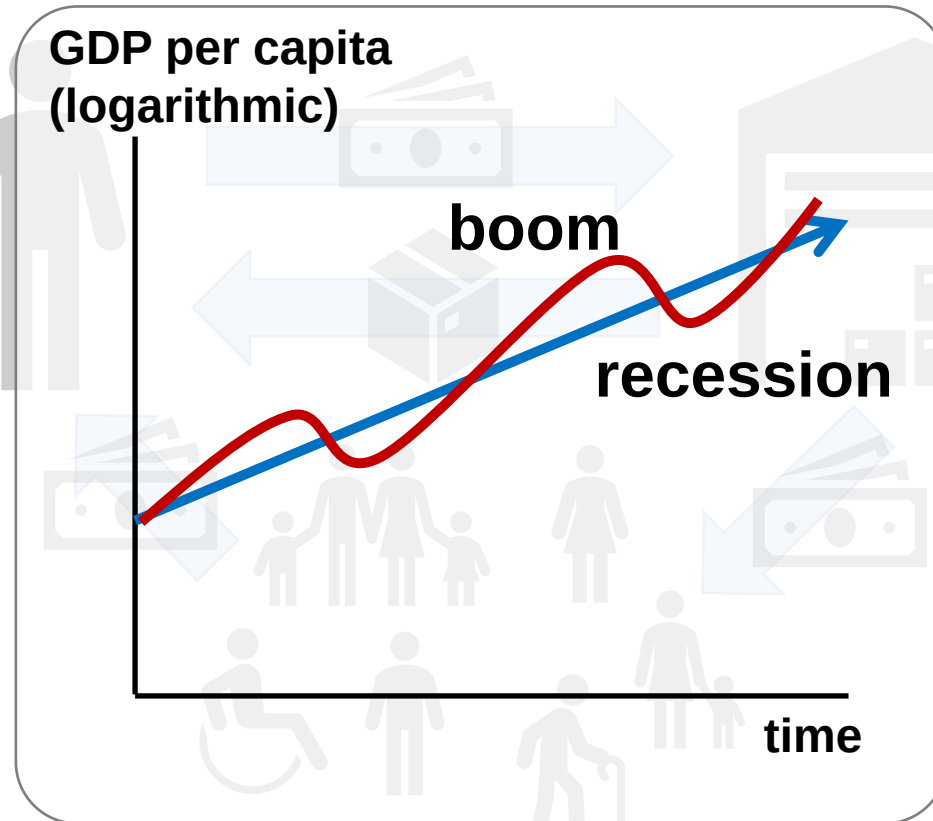
John Maynard Keynes

Consumer confidence
Animal Spirits

Business confidence

Monetary policy

Government fiscal policy



Income

Wages, Profit, Interest, Rent

Production

Neo-Classical

Friedrich Hayek

External shocks

Production and technology

Credit cycle

Policy stuff-ups

It is helpful to be pluralistic*

Both Neo-Keynesian and Neo-Classical (Hayek) views are correct

Production influences expenditure

... and expenditure influences production

When the economy is going well ... Neo-Classical (Hayek)

Small government, balanced budget, promote efficiency and productivity growth

During an economic crisis ... Neo-Keynesian

Large government, budget deficit, promote confidence and expenditure

Australian Governments have balanced these fairly well in recent years

* What I mean by 'pluralism' is to recognise that more than one principle can be 'true' and to use the appropriate theory for the situation.

What caused the high inflation in 2022?

Energy crisis from war in Ukraine

Food and commodities (Russia & Ukraine)

Pandemic shut-downs in China

Pandemic supply chain disruption

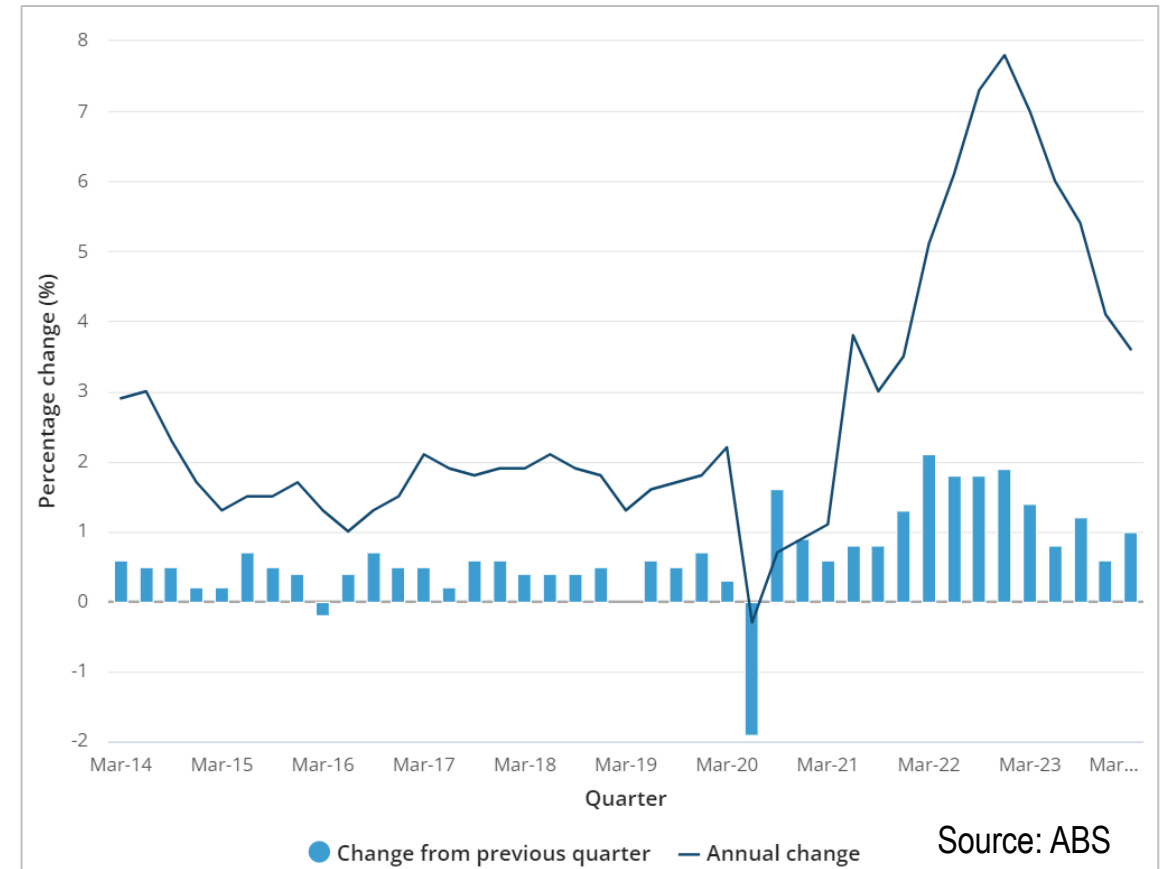
Pandemic payments by Government

Labour shortages

Central bank bond market support*

Housing shortages

Post-pandemic profit recapture (Gouging from too much market power)

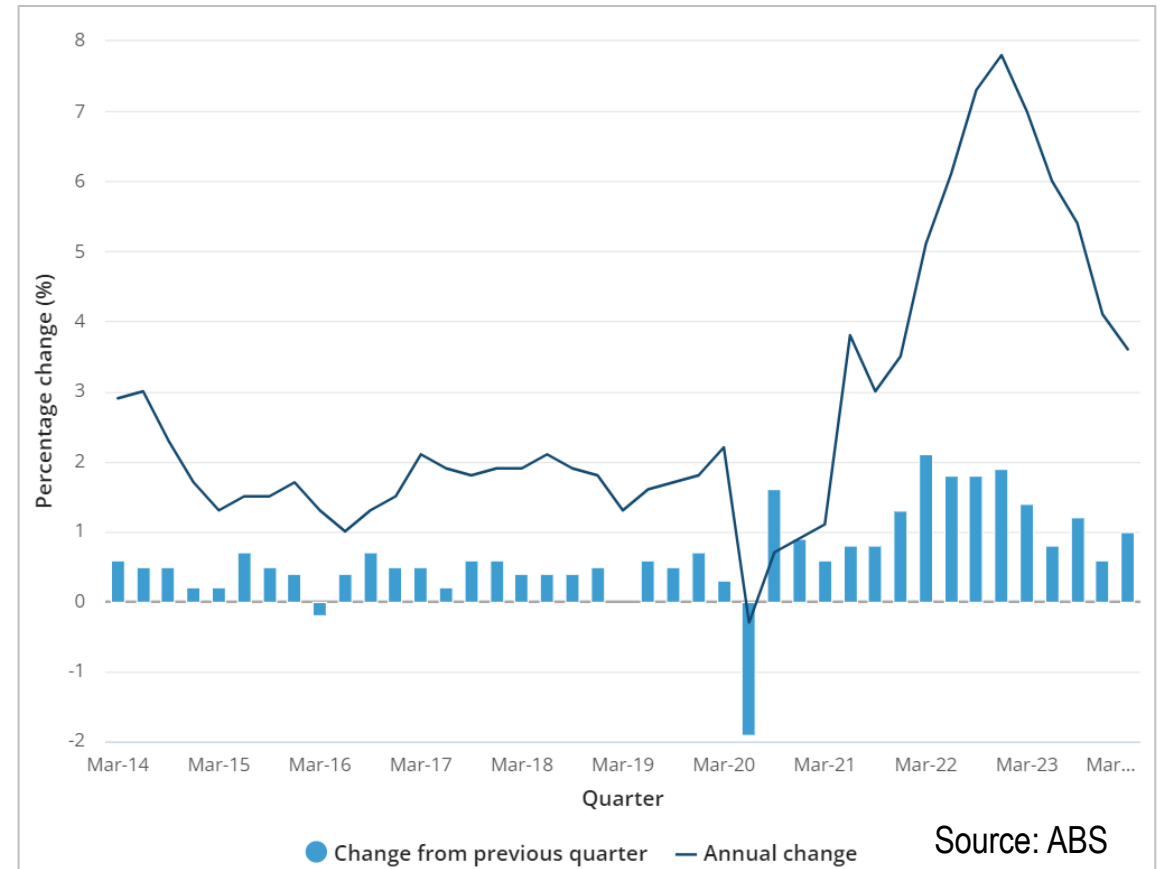


* The Reserve Bank of Australia (RBA) bought back government bonds from financial market participants (often fund managers) to keep bond prices high, interest rates low and to provide 'liquidity'. This was called 'Quantitative Easing'. They did this using 'created money' which is inflationary.

High inflation can become endemic

Businesses expect costs to rise
... so they keep increasing prices.

People expect cost of living to rise
... so they keep asking for pay rises
... independent of productivity
... which increases costs to business
... so businesses increase prices
... to recapture profit margins in a Wage Price Spiral.



High inflation is bad for the economy

Cost of living for vulnerable

Uncertainty for businesses

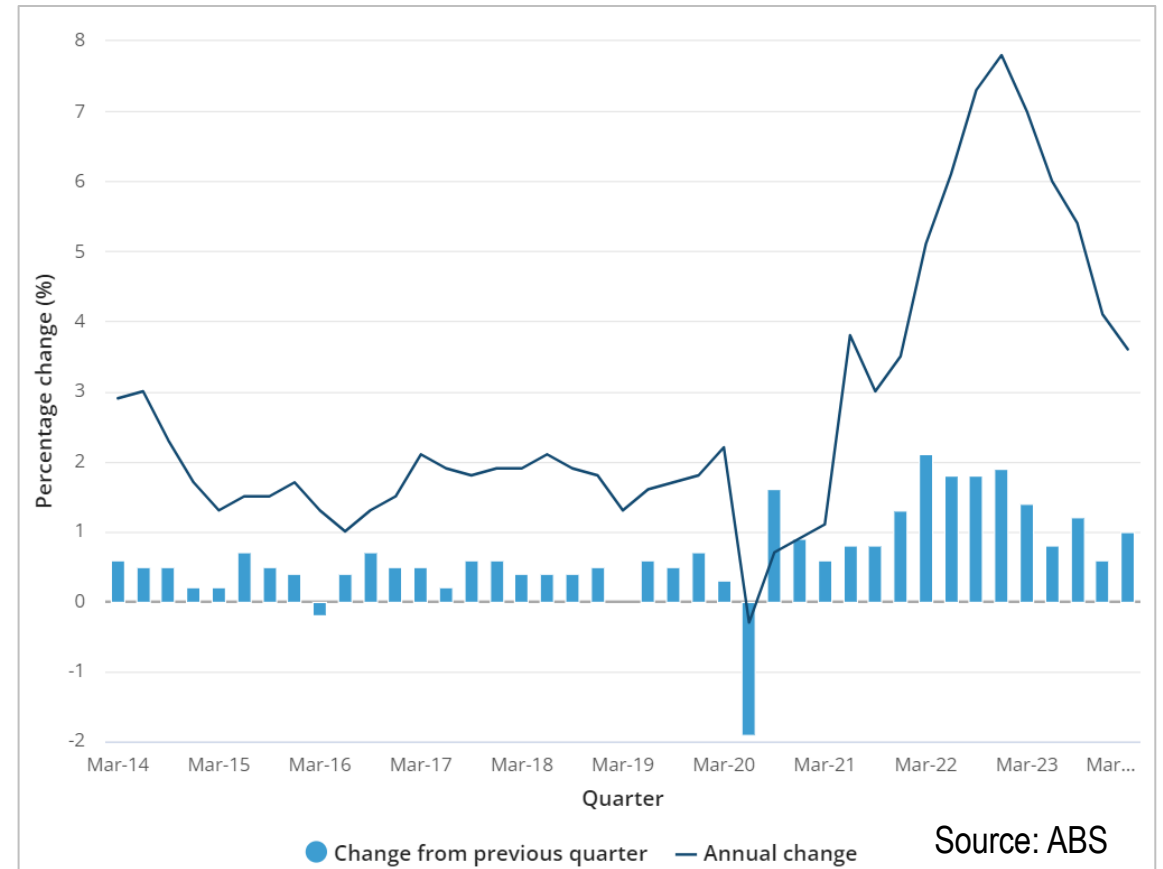
Encourages borrowing

Discourages saving

Can create speculative bubbles

Decreases home affordability

... and requires a response!



That response is higher interest rates which ...

Decreases new home construction

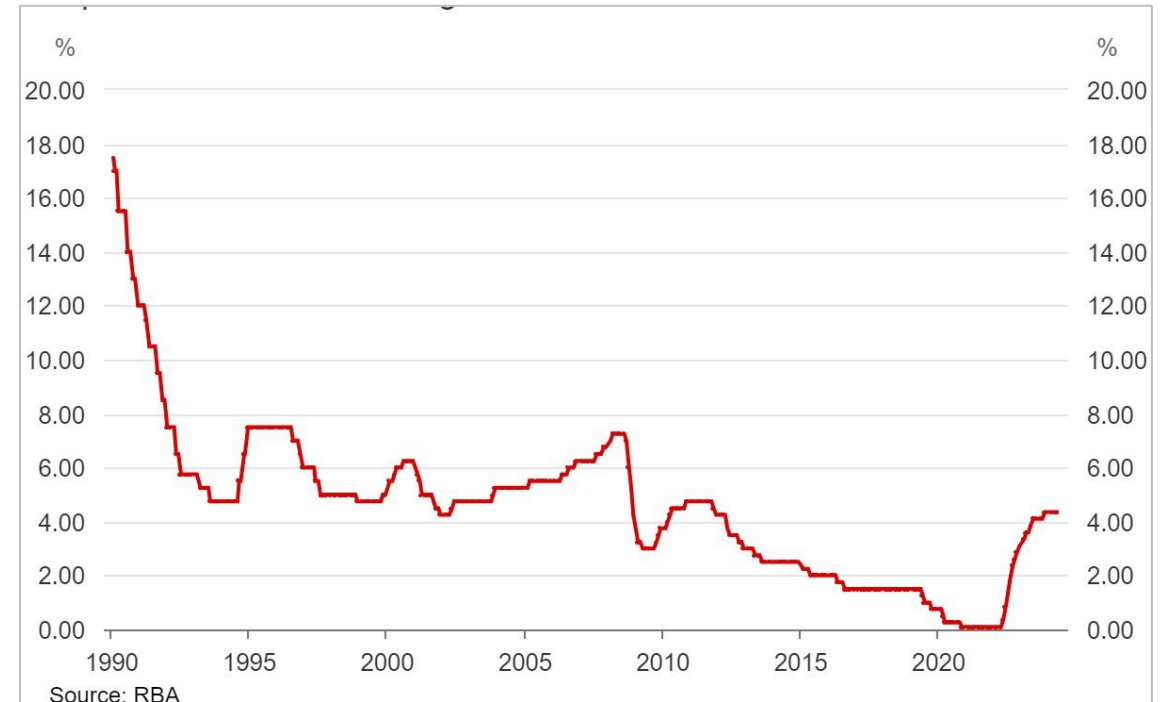
Decreases business investment

Increases home loan payments

Increases home rent payments

Increases income for retirees*_(unfortunately)

**Except for the last one ... these all
slow down the economy and inflation**



* Most self-funded retirees own significant retirement savings through their superannuation. A significant portion is invested in fixed interest investments (such as bonds). Higher interest rates increases the return on these investments.

Monetary and Fiscal Policy

Monetary Policy (Interest Rates)

Reserve Bank of Australia

Higher rates slow things down

Lower rates not very effective at speeding things up!

... like applying the brakes of a car

... but trickier since there is a 6 to 12 month delay

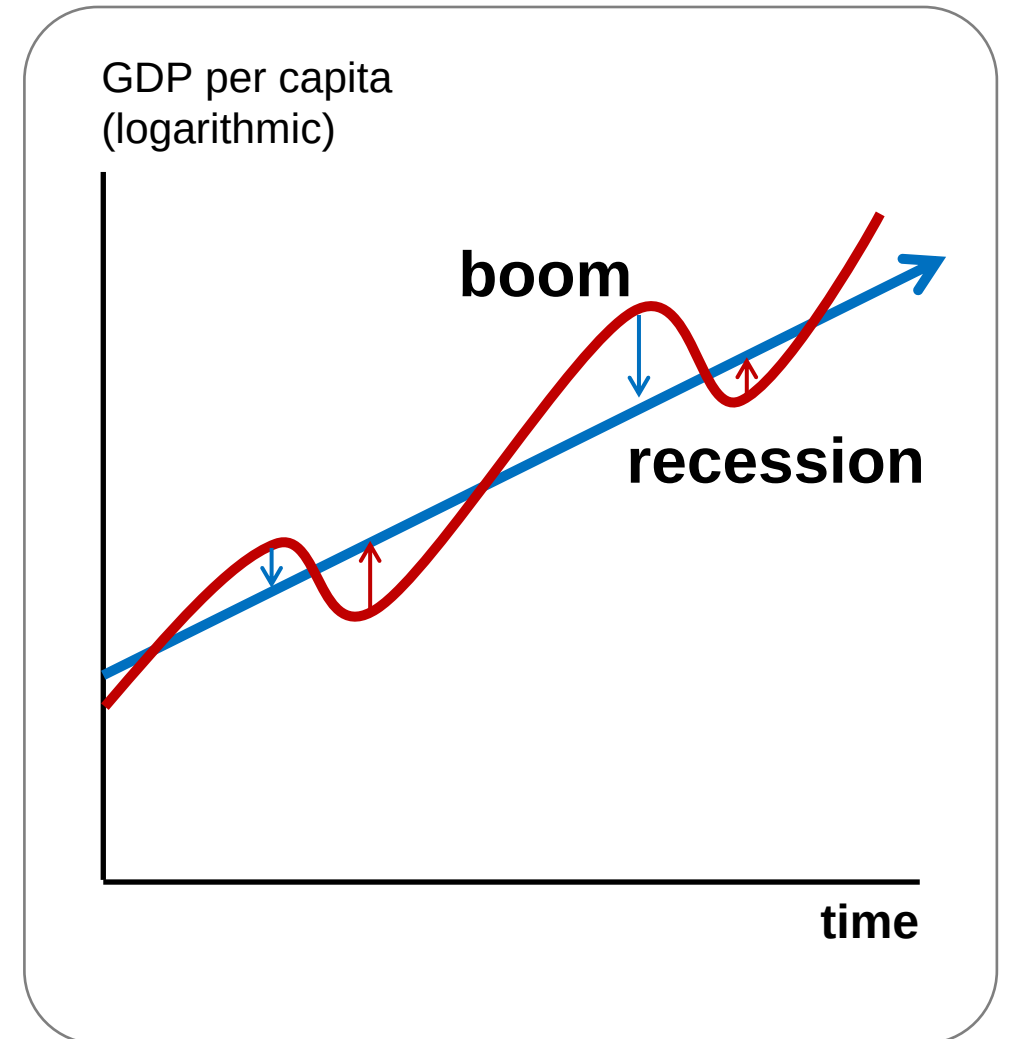
Fiscal Policy (Government Expenditure and Taxation)

Commonwealth Government Budget (May)

Taxation* increases during booms (slows down)

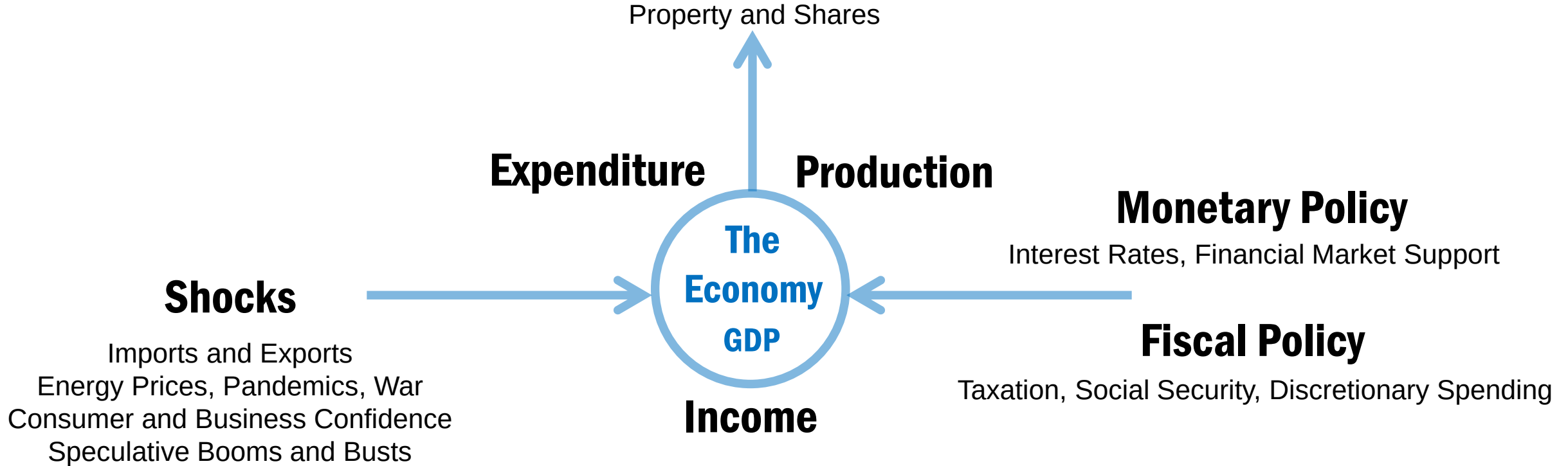
Social security* increases in recession (speeds up)

Discretionary spending (speed up or slow down)



* The increase of taxation receipts during a boom and the increase in social security payments during a recession are called 'automatic stabilisers'.

The Economy and Asset Prices



↑ GDP growth results in ↑ pressure on Property and Share Prices*

↑ Interest Rates results in ↓ pressure on Property and Share Prices*

* Share prices are mainly driven by expected future profits and so are mainly affected by expected future changes in the economy. Also, these relationships are complex and not 'guaranteed'. Both demand and supply factors affect property prices.

Why does the economy matter for this course?

- 1. Career**
- 2. Income**
- 3. Living expenses (inflation)**
- 4. Interest rates**
- 5. Exchange rates**
- 6. Investment returns (in short-run and long-run)**
- 7. Investment risk**

Tips for finding a job in a recession

- 1. Build your network using LinkedIn and other websites**
- 2. Ask for advice from people you know who do have jobs**
- 3. Consider taking temporary contract work for experience**
- 4. Be flexible ... consider areas outside your industry**
- 5. Volunteer your time with non-profit organisations**
- 6. Pursue further 'specialist' education part-time**
- 7. Pursue further 'generalist' education part-time**

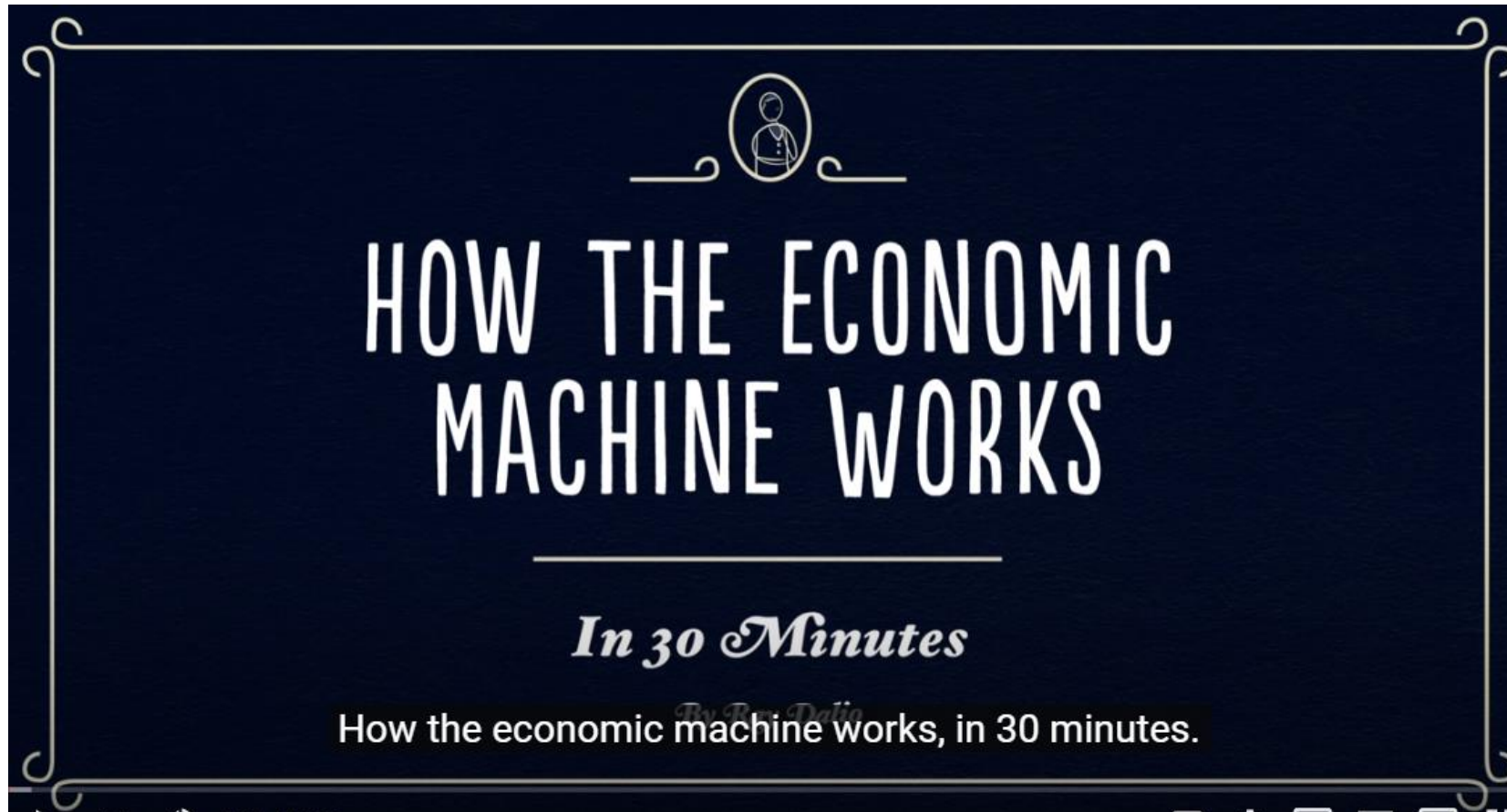
Tips for keeping your job in a recession

- 1. Work extra hours (unpaid) to show commitment**
- 2. Make sure you get on well with decision-makers and co-workers**
- 3. Be careful about updating LinkedIn**
- 4. Help your employer find extra sources of revenue**
- 5. Help your employer find cost reductions**
- 6. Offer to move to a 4-day week for 20% less pay**

Make sure any subsequent termination is based on full-time pay

1. How the Economic Machine Works (optional but brilliant)

An excellent explanation of Neo-Classical Credit Cycle Theory (Austrian)



2. Keynes v Hayek rap battle

(optional but awesome!)

A fun music video on ideological battles in macroeconomics!



This video can be difficult to understand if English is your second language!

Emergent Order (2010), '[Fear the Boom and Bust: Keynes vs. Hayek - The Original Economics Rap Battle!](#)' on Youtube

Emergent Order (2011), '[Fight of the Century: Keynes vs. Hayek - Economics Rap Battle Round Two](#)' on Youtube

Creator
San Francisco

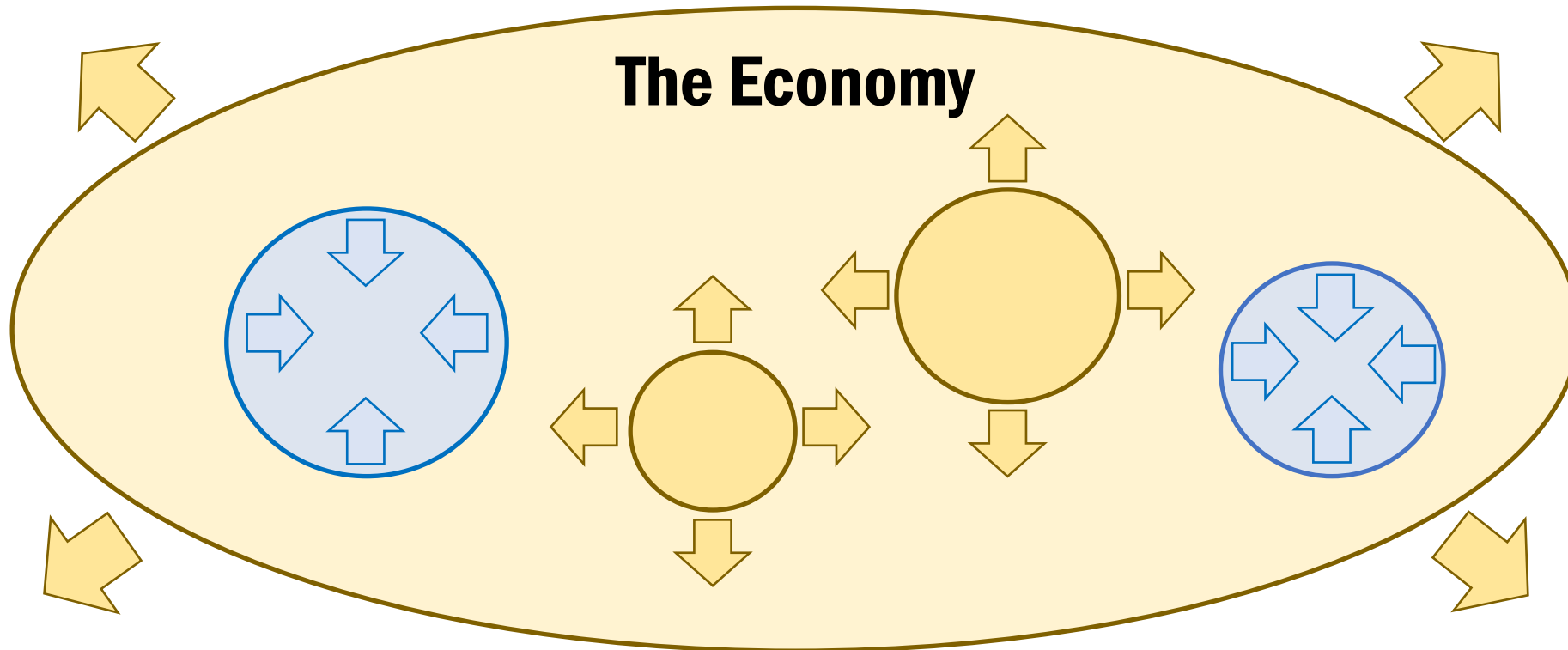
Structural Change

Even when the economy is expanding ...

... some industries will be shrinking!

Cyclical unemployment is when people lose jobs from economic cycle

Structural unemployment is when they lose jobs from declining industries



Industrial Revolutions

1. Transition from hand production to machines (1760 to 1840)

Mechanical production driven by steam and water power

2. Technological Revolution (1871 to 1914)

Railroads, telegraph, electricity and modern production lines

3. Digital Revolution (1960 to 1990s)

Mainframes, personal computers, supercomputers and the Internet

**All of these revolutions involved disruption to industries and jobs
... and structural unemployment**

Industrial Revolutions

1. Transition from hand production to machines (1760 to 1840)

Mechanical production driven by steam and water power

2. Technological Revolution (1871 to 1914)

Railroads, telegraph, electricity and modern production lines

3. Digital Revolution (1960 to 1990s)

Mainframes, personal computers, supercomputers and the Internet

4. Fourth Industrial Revolution (2010 onwards)

Interaction of technology across physical, digital and biological domains

Automation, machine-to-machine communication (M2M) and internet of things (IoT), artificial intelligence, communication and smart monitoring, smart autonomous machines

Digital services, globalisation and automation

Digital services can be exported globally

Amazon Web Services, Google, Facebook, Netflix, Software, Games ...

Large companies often have advantages with digital services

Economies of scale: The larger the size of the company, the lower the cost per unit

Network effects: Value to users increase with the number of people using the service

Communication technology allows labour to be sourced globally

Automating the sales process requires less humans to be involved

Artificial intelligence reduces time taken to complete work

The Global Pandemic of 2020-21 sped up these changes

Workplace automation

1. The automation of activities

45% of work activities can be automated using existing technology

2. The redefinition of jobs and business processes

60% of occupations could have 30% or more of activities automated

3. The impact will be on high and low-wage occupations

4. Creativity and sensing emotions is difficult to automate

Michael Chui, James Manyika and Mehdi Miremadi (2015), 'Four fundamentals of workplace automation', *McKinsey Digital*

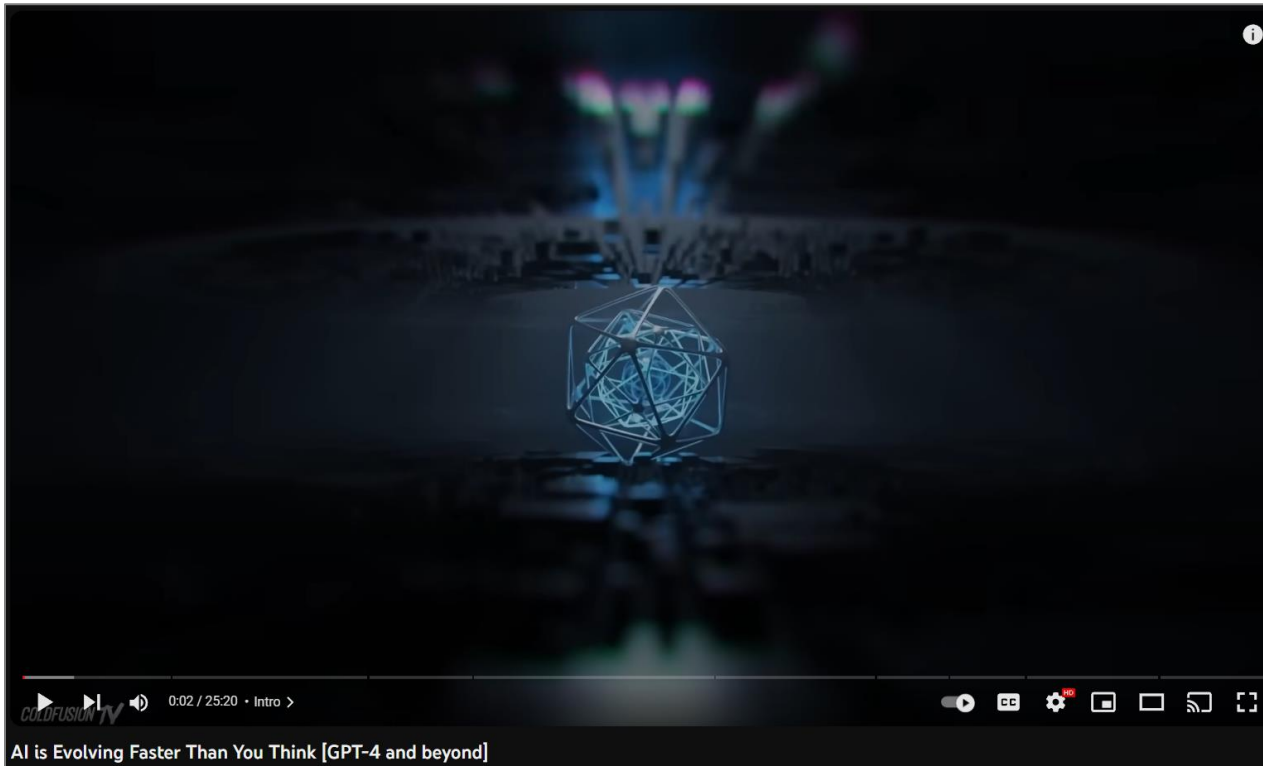
Michael Hicks and Srikant Devaraj (2015), 'The Myth and the Reality of Manufacturing in America', *Center for Business and Economic Research*

Martin Ford (2015) *The Rise of the Robots*

AI is evolving faster than you think

OpenAI has really sped up the Fourth Industrial Revolution

AI will continue to disrupt jobs and industries



Chat GPT (Text)

Dall-E (Images)

Sora (Video)

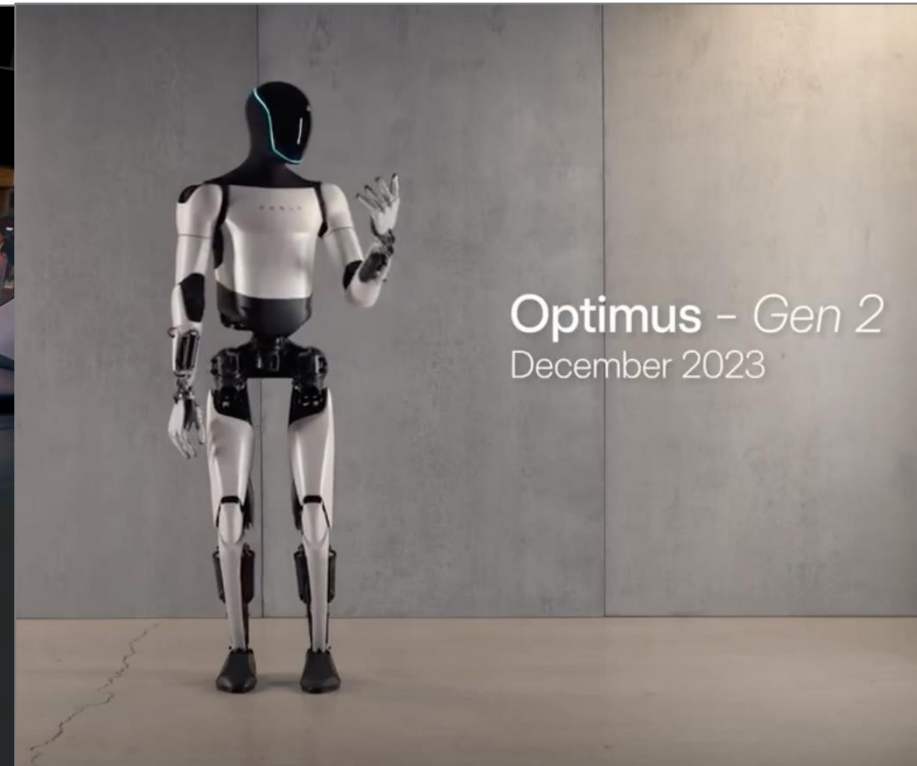
Dagogo Altraide – Cold Fusion (2023) [‘AI is Evolving Faster Than You Think’](#) on Youtube

Dagogo Altraide – Cold Fusion (2023) [‘AI is Evolving Faster Than You Think Part 2’](#) on Youtube

Tesla is bringing AI to robotaxis and robotics

Tesla's Full-Self-Drive Beta v12 learned to drive by watching humans

The same Neural Net models are being used to train Optimus



Farzad (2023) '[Elon Musk Tesla FSD v12 Drive with Mind-Blowing Commentary](#)' on Youtube

Tesla (2024) '[Optimus - Gen 2](#)' on Youtube

Companies like Palantir are helping to apply it

In government, the military

... and business.

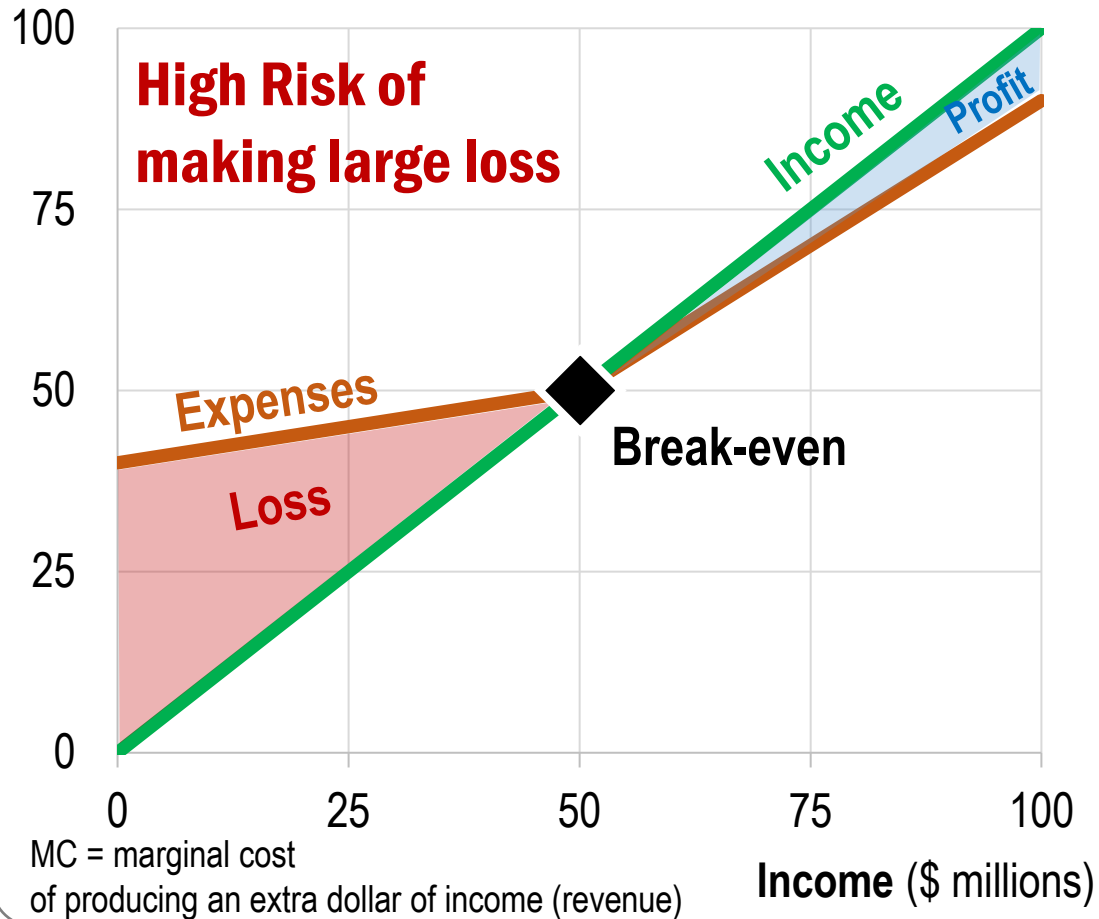


Alex Karp
CEO of Palantir

Casualisation and underemployment

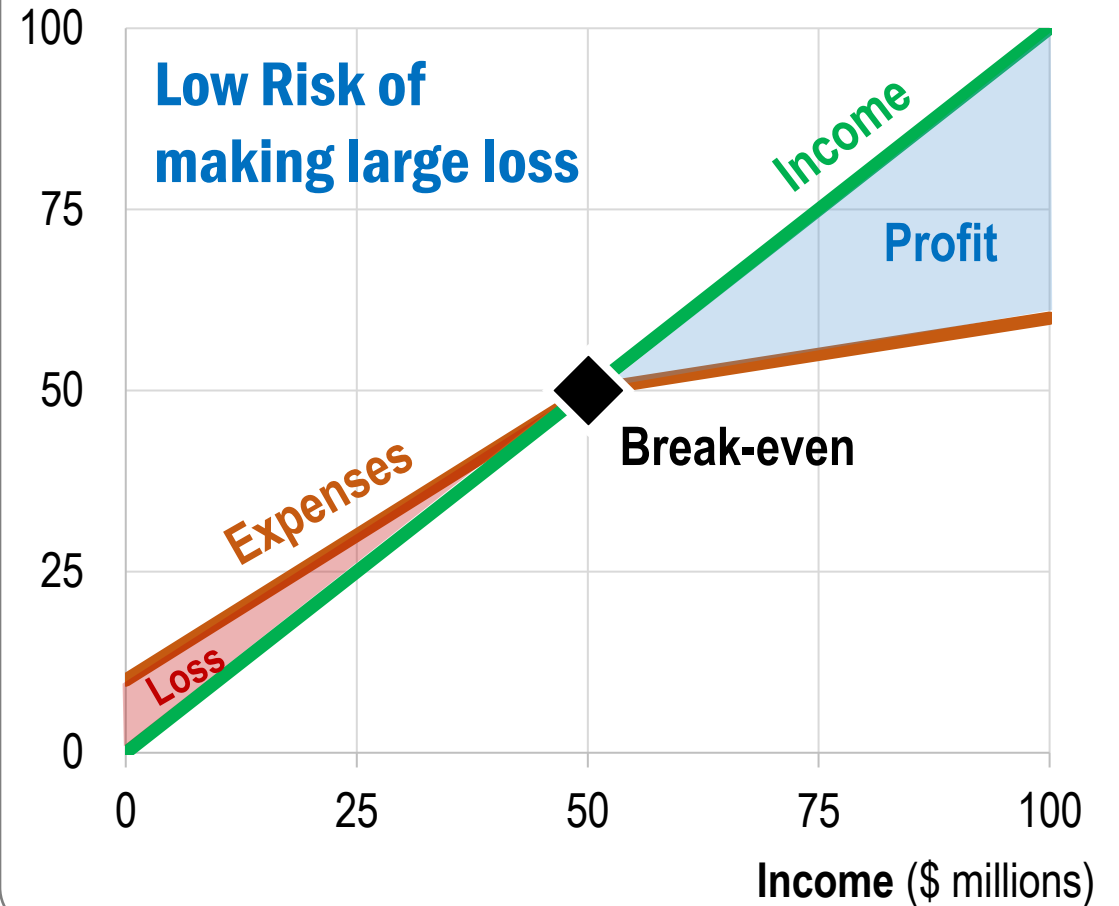
Convex Company like Convex Katrina from Unit 1

Expenses, Income (\$ millions)



Concave Company like Concave Kelly from Unit 1

Expenses, Income (\$ millions)



Universal Basic Income unlikely to happen

Abolish existing social security system

Pay all adults a basic income with no work or activity tests

Increase corporate, individual and land taxes to help pay for it

Not a new idea ... first trialled in the 1800's in Great Britain

Too much opposition from groups in society

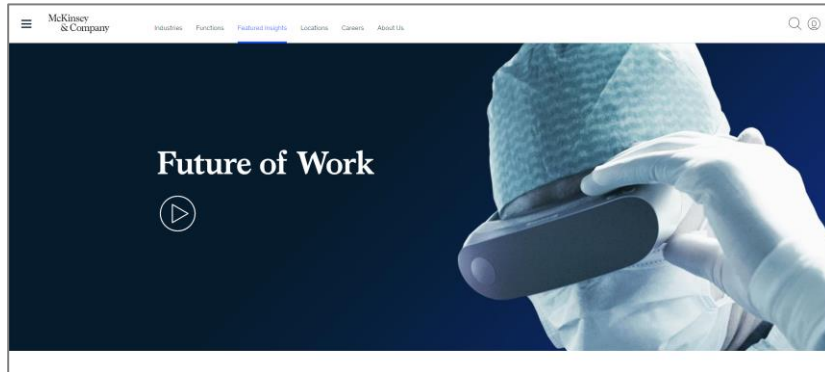
Ben Spies-Butcher, Ben Phillips and Troy Henderson (2020) 'Between universalism and targeting: Exploring policy pathways for an Australian Basic Income', *The Economic and Labour Relations Review*

Don Arthur 2016, 'Basic income: a radical idea enters the mainstream', *Parliament of Australia Research Paper*

Rutger Bregman (2017), *Utopia for realists and how we can get there*

The Future of Work

McKinsey



mckinsey.com/featured-insights/future-of-work

Jobs and Skills Australia



jobsandskills.gov.au

World Economic Forum



<https://www.weforum.org/agenda/2020/10/top-10-work-skills-of-tomorrow-how-long-it-takes-to-learn-them/>

The Square Peg

Alternative

- 1. Do nothing**
- 2. Change the peg to be round**
- 3. Change the hole to be square**
- 4. Find a square hole**

Meaning

Accept misalignment

Change yourself

Change your environment

Move to a different environment

Demand for labour and automation

How will automation affect the demand for labour in your industry?

What are the implications for your own career direction?



**An old video but
way ahead of its time!**

Discussion

Earlier we discussed what type of job you would like to do after you graduate and also 10 years after you graduate.

How do you think Artificial Intelligence, robotics and automation might affect the work that you plan to do over the next 10 years?

Break

Understand Yourself

The Square Peg

Understanding yourself includes ...

- 1. Values**
- 2. Intelligences**
- 3. Personality traits**
- 4. Skills and experience**
- 5. Work styles**

1. Values

Values and the Square Peg

If an occupation doesn't align with your core values

... you will struggle to create 'fit' in the short and long-run

Schwartz' basic values and doctors

6. Benevolence

Helpful, honest, forgiving, loyal, responsible, friendship, spiritual, mature love, meaningful life

7. Security

Clean, national security, social order, family security, reciprocation of favours, healthy, belonging

8. Self-direction

Creativity, curious, freedom, choosing own goals, independent

9. Power

Social power, authority, wealth, preserving public image, social recognition

10. Hedonism

Pleasure, enjoying life

Shalom Schwartz (1992), 'Universals in the Content and Structure of Values: Theory and Empirical Tests in 20 Countries' in *Advances in Experimental Psychology* and Jasper Kenter et al., (2015), 'What are shared and social values of ecosystems', *Ecological Economics*.

Schwartz' basic values and financial advisers

6. Benevolence

Helpful, honest, forgiving, loyal, responsible, friendship, spiritual, mature love, meaningful life

7. Security

Clean, national security, social order, family security, reciprocation of favours, healthy, belonging

8. Self-direction

Creativity, curious, freedom, choosing own goals, independent

9. Power

Social power, authority, wealth, preserving public image, social recognition

10. Hedonism

Pleasure, enjoying life

Shalom Schwartz (1992), 'Universals in the Content and Structure of Values: Theory and Empirical Tests in 20 Countries' in *Advances in Experimental Psychology* and Jasper Kenter et al., (2015), 'What are shared and social values of ecosystems', *Ecological Economics*.

2. Intelligence

Multiple Intelligences

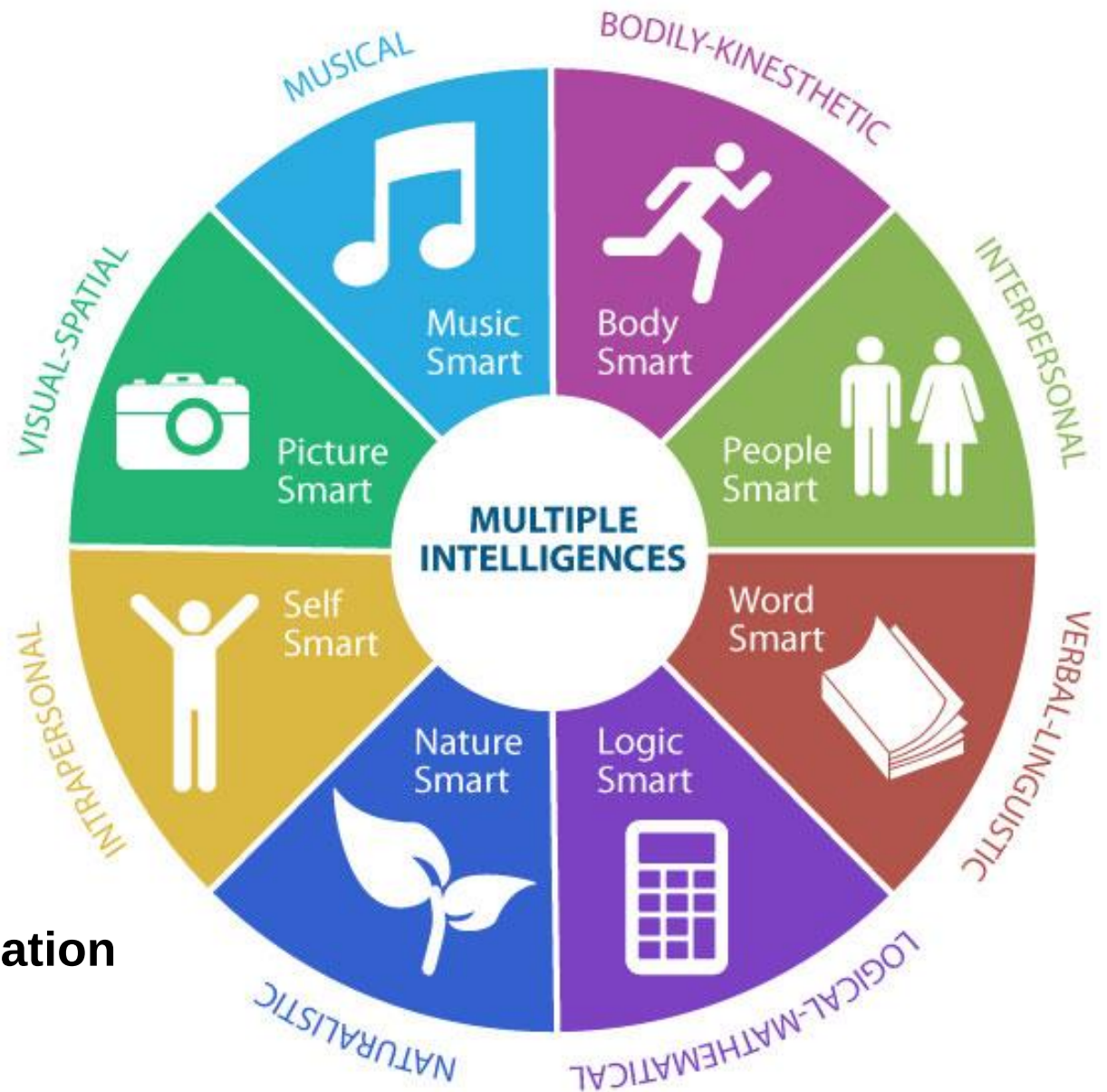


Howard Gardner

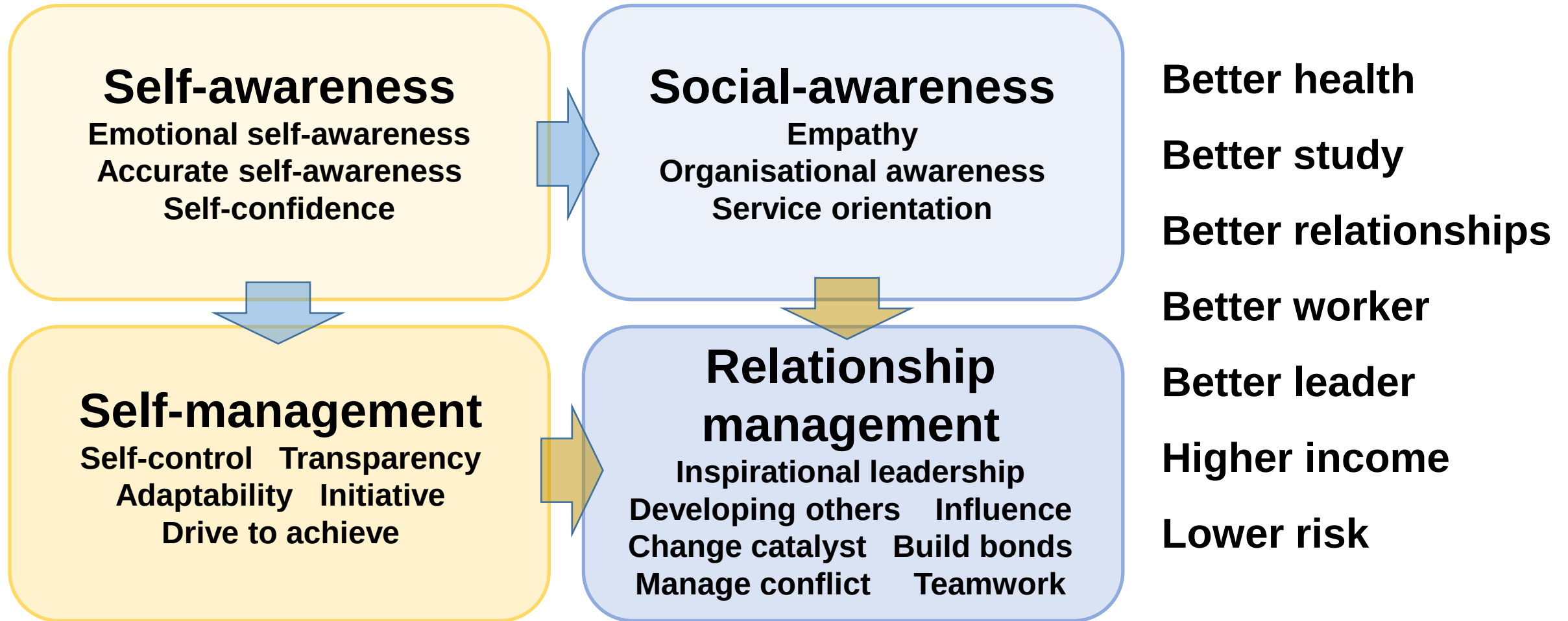
Research Professor of Cognition and Education

Harvard Graduate School of Education

Howard Gardner (1983) *Frames of Mind: The Theory of Multiple Intelligences*



Emotional Intelligence (EQ)



Daniel Goleman (1996), *Emotional Intelligence*

Daniel Goleman and Richard Boyatzis (2017), 'Emotional Intelligence Has 12 Elements. Which Do You Need to Work On?', *Harvard Business Review*

3. Personality traits

Some tips

- 1. Don't put too much trust in one model or framework**
- 2. No one likes to be 'put in a box' ... but those boxes can still be useful**
- 3. People change in some personality traits ... and not others**
- 4. We are good at self-delusion ... so ask trusted friends and family**
- 5. Remember that self-awareness is a life-long journey**

Big Five Personality Traits

also called the 'Five Factor Model' (FFM)

1. Openness to experiences

Appreciation of art, emotion, adventure, unusual ideas, imagination, curiosity and variety

2. Conscientiousness

Self-discipline, act dutifully, strive for achievement against measures of outside expectations

3. Extraversion

Breadth of activities, happiness from external activity, energy from external means

4. Agreeableness

Get along with others, considerate, kind, generous, trustworthy, helpful, compromising

5. Emotional stability (not neurotic)

Tendency not to experience negative emotions such as anger, anxiety or depression

Grandiose Narcissism

excessive and over-confident self-love

Best to tone down narcissism as it may adversely affect your career

Fantatising about power, beauty or success

Exaggerating achievements and abilities

Superiority, specifically towards people perceived as 'lower' in status

Inflated sense of entitlement

Obsession with class and status

Believing that others are envious of you

Expecting constant praise and recognition of achievements

Unrealistic goal setting

In Greek mythology, Narcissus was cursed by Nemesis to fall in love with himself while looking into a pool of water.

Health Direct (2018), 'Symptoms of narcissistic personality disorder (NPD)', at [healthdirect.gov.au](https://www.healthdirect.gov.au)

Michael Maccoby (2004), 'Narcissistic Leaders: The Incredible Pros, The Inevitable Cons', *Harvard Business Review*

Timothy Judge, Jeffery LePine and Bruce Rich (2006), 'Living yourself abundantly: Relationship of the narcissistic personality to self- and other perceptions of workplace deviance, leadership, and task and contextual performance', *Journal of Applied Psychology*

Myers Briggs Type Indicator (MBTI)

Extraversion (E)	Introversion (I)
Action-oriented, enjoy frequent social interaction and feel energised from other people	Thought-oriented, enjoy deep and meaningful social interactions and recharge by spending time alone
Sensing (S)	Intuition (N)
Pay attention to reality. Focus on facts and details and hands-on experience	Pay attention to patterns and impressions. Think about possibilities, future and abstract theories
Thinking (T)	Feeling (F)
Make decisions based on facts and data	Make decisions based on people and emotions
Judging (J)	Perceiving (P)
Deal with outside world with structure and firm decisions	Deal with outside world by being open, flexible and adaptable

Understanding your strengths and weaknesses

Often they are two-sides of the same coin!

4. Skills and experience

Provide insights into your personality and intelligences

1. High school
2. University
3. Work
4. Community
5. Sport
6. Travel

5. Work styles

Deeply Embedded Life Interests (DELIs)

Capable people can do almost any job

Satisfaction depends on aligning job to personality

8 different ‘deeply embedded life interests’ (DELIs)

long-held, emotionally driven passions, entwined with personality

People mainly driven by one or two of these DELIs

Even though you may ‘identify’ with all of them

They form in childhood ... but express differently with age

Choose a job that matches your DELIs

Job consistent with DELIs = Job satisfaction

Job satisfaction = Happiness over long term

What are your top two DELIs?

1. Application of technology
2. Quantitative analysis
3. Theory development & conceptual thinking
4. Creative production
5. Counselling and mentoring
6. Managing people & relationships
7. Enterprise control
8. Influence through language & ideas

Choosing a Career

Choosing your career and the Square Peg

Your career path needs to be a good fit with the economy

... and a good fit with you

Values, intelligences, personality, skills, experiences and work style

1. Avoid shrinking industries

2. Pursue expanding industries

3. Organisations have many different roles

4. Don't feel locked in by your degree

5. Think carefully about automation

6. Seek advice from people with experience

7. Plan for a mid-life 'refresh'

8. The government is here to help



Labour Market Insights

Skills and Training

Research

8. The government is here to help International Students



International Student Visa (Subclass 500)

You can work up to 48 hours every two weeks while studying (unlimited hours in uni break)

Temporary Graduate Visa (Subclass 485)

You can stay and work for 2 years for Bachelor or Masters Degrees if aged under 35.

Australian Government (2024) '[Changes to the Temporary Graduate visa program – proposed 1 July 2024](#)' at [homeaffairs.gov.au](#)

Australian Government (2024) '[Student Visa \(subclass 500\)](#)' at [studyaustralia.gov.au](#)

Australian Government (2024) '[Temporary Graduate Visa \(subclass 485\)](#)' at [studyaustralia.gov.au](#)

9. UNSW Careers team is here to help

CDEV1112 Creating Your Career

General education course to prepare you for work

Virtual Internships

Company-backed virtual internships provided for free through InsideSherpa

Career Ready Mentoring Program

Connects UNSW students in last two years of study with industry professionals

Professional Development Program

Addresses the challenges of starting a career in a new country (international students)

UNSW Founders

Programs and services to support staff and students with start-ups and entrepreneurship

Resume Checker

An online tool to give you feedback on your resume

Career Coaching Sessions

One-to-one coaching sessions
Book 14 days in advance

More information ...

<https://www.student.unsw.edu.au/careers-programs>

Develop your Career Strategy

1. Labour market

Define the labour market in which you plan to compete

Type of work, industry and geographic location

2. Economic cycle

How would a boom or recession affect employment in your labour market?

Is employment sensitive to the state economy or unrelated? Why?

Identify the current phase of the economy

Boom, normal, recession ...

How do you believe the phase is affecting income and employment?

3. Structural change

How will it affect income and employment over the next 10 years?

... from changing technology (4th industry revolution) and other factors (post-pandemic)

How will it change the specific work activities that you expect to perform?

4. Values

**Explain the link between your chosen labour market and work activities
... and your values and principles**

5. Personality

How does your career link with your intelligences and personality?

Consider the Big Five, MBTI and others

6. Work styles

How does your career link with your skills, experiences and work styles?

Consider your DELIs

7. Career goals

Briefly define some specific career goals

... for each of your life stages

- 1. Type of company**
- 2. Job role or position**
- 3. Expected income**

8. Career strategy

What specific steps will you take to achieve career goals?

Workplace experiences

Developing new skills

Regular mentoring

Network building

Active 'marketing' of your skills via social media

Additional part-time study (such as an MBA with AGSM)

9. Risk analysis

Identify some risks associated with achieving your career goals

How likely are they to occur and what will be the impact?

What steps can you take to manage the risk?

MEAT: Mitigate, Eliminate, Accept or Transfer

10. Career action plan

What specific actions do you need to take:

- 1. Short-term (1 year)**
- 2. Medium-term (1 to 5 years)**
- 3. Long-term (5+ years)**

Your Financial Plan ... 4. Career Strategy

Describe your overall career strategy across your life stages:

- | | |
|-----------------------------|-------------------------------|
| 1. Labour market | 6. Work styles |
| 2. Economic cycle | 7. Career goals |
| 3. Structural change | 8. Career strategy |
| 4. Values | 9. Risk analysis |
| 5. Personality | 10. Career action plan |

I am just expecting one paragraph on each ... or a few bullet pointed sentences

More information under 'Financial Plan Instructions' document

... on the course website under 'Financial Plan' section

Join us in a Drop-in Session

Each week we have a drop-in Q&A session on Zoom

Details are on the course website under ‘Getting Started Hub’

Bring along some questions that you have about the Unit.

Sessions are not recorded.

You are also welcome to ask questions on the ‘General Forums’